- The concept that advocates management's attempt to find a strategic fit between external opportunities and internal strengths while working around external threats and internal weaknesses is called
    A. environmental analysis.
    B. position analysis.
    C. strategic evaluation.
    D. objective analysis.
    E. situation analysis.

- The particular capabilities and resources a firm possesses and the superior way in which they are used is called
  A) differentiating capabilities.
  B) distinctive competencies.
  C) situational proficiency.
  D) core competencies.
  E) distinctive characteristics.

- An acronym for the assessment of the external and internal environments of the business corporation in the process of strategy formulation/strategic planning is
  A) PET.
  B) MBO.
  C) SWOT.
  D) SBU.
  E) ROI.

- The T in SWOT represents
  A) threat.
  B) tactic.
  C) tautology.
  D) task.
  E) time.

- The text authors note that the essence of strategy is
  A) opportunity divided by strengths minus weaknesses.
  B) strength divided by opportunity.
  C) threat divided by capacity.
  D) threat divided by opportunity.
  E) opportunity divided by threat.

- All of the following reflect criticisms of the SWOT analysis EXCEPT
  A) it uses no weights to reflect priorities.
  B) it only requires a single level of analysis.
  C) it provides a rational link to strategy implementation.
  D) it uses ambiguity in words and phrases.
  E) it generates lengthy lists.

- In the development of a SFAS matrix, the first step is to
  A) enter the ratings of how the company's management is responding to each of the strategic factors.
  B) calculate the weighted scores.
  C) list the most important EFAS and IFAS items.
  D) indicate short-term goals for the duration.
  E) enter the weights for all of the internal factors.
- A corporation's specific competitive role which is so well-suited to the firm's internal and external environment that other corporations are NOT likely to challenge or dislodge it.
- strategic fit

- propitious niche
- common thread
- business screen
- implicit strategy
- According to the text, unique market opportunities that are available for only a particular time are called
  A) situational occasions.
  B) critical openings.
  C) strategy implementation.
  D) strategic windows.
  E) trigger points
- One company that has successfully found a propitious niche is
  A) Coca-Cola.
  B) PepsiCo.
  C) Frank J. Zamboni & Company.
  D) Walmart.
  E) Disney.

- The technique that illustrates how management can match the external opportunities and threats with its strengths and weaknesses to yield four sets of strategic alternatives is called a(n)
  A) IFAS Table.
  B) EFAS Table.
  C) SFAS Table.
  D) TOWS Matrix.
  E) Issues Priority Matrix.

- In a TOWS Matrix, SO Strategies
  A) are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
  B) attempt to take advantage of opportunities by overcoming weaknesses.
  C) are basically defensive and primarily act to minimize weaknesses and avoid threats.
  D) consider a company's or unit's strengths as a way to avoid threats.
  E) are ways to get strategists to think "out of the box."

- In a TOWS Matrix, ST Strategies
  A) are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
  B) attempt to take advantage of opportunities by overcoming weaknesses.
  C) are basically defensive and primarily act to minimize weaknesses and avoid threats.
  D) consider a company's or unit's strengths as a way to avoid threats.
  E) are ways to get strategists to think "out of the box."

- In a TOWS Matrix, WT Strategies
  A) are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
  B) attempt to take advantage of opportunities by overcoming weaknesses.
  C) are basically defensive and primarily act to minimize weaknesses and avoid threats.
  D) consider a company's or unit's strengths as a way to avoid threats.
  E) are ways to get strategists to think "out of the box."

- Business strategy focuses on
  A) ensuring that the company maintains the existing market share that it has historically enjoyed.
  B) improving the competitive position of a corporation's products or services within the industry or market segment served.
  C) providing adequate shareholders' return on investment.
  D) preventing the competition from gaining a competitive edge by undermining their marketing plan.
  E) recovering the competitive lead by using all available resources that the company can provide.

- Business strategy is composed of
  A) corporate and competitive strategy.
  B) functional and divisional strategy.
  C) competitive and cooperative strategy.
  D) corporate and cooperative strategy.
  E) divisional and competitive strategy.

- Which of the following is NOT one of the questions that development of a competitive strategy should raise?
  A) Should we compete on the basis of lower cost?
  B) Should we compete head-to-head with major competitors?
  C) Should we differentiate our products or services on some basis other than cost?
  D) Should we compete by garnering political support of influential leaders?
  E) Should we compete in a niche market that we can satisfy which is superior to that of the competition?

- According to Porter, the generic competitive strategy that reflects the ability of the corporation or its business unit to design, produce, and market a comparable product more efficiently than its competitors is called
  A) competitive scope.
  B) differentiation.
  C) cost leadership.
  D) diversification.
  E) focus.

- What are the three generic competitive strategies that Porter promotes as the means for outperforming other corporations in a particular industry?
  A) competitive scope, differentiation, and focus
  B) diversification, concentration, and competitive scope
  C) cost, competitive scope, and focus
  D) concentration, cost leadership, and differentiation
  E) cost leadership, differentiation, and focus

- According to Porter, the generic competitive strategy that reflects the ability to provide unique and superior value to the buyer in terms of product quality, special features, or after-sale service is called
  A) competitive scope.
  B) differentiation.
  C) focus.
  D) diversification.
  E) cost leadership.

- According to Porter, the term that applies to the breadth of a company's or business unit's target market is called
  A) competitive scope.
  B) differentiation.
  C) focus.
  D) diversification.
  E) cost leadership.

- Walmart, as a discount retailer, is an example of a company following which of Porter's competitive strategies?
  A) differentiation
  B) cost leadership
  C) differentiation focus
  D) competitive advantage
  E) cost focus

- Apple is an example of a company following which of Porter's generic competitive strategies?
  A) cost leadership
  B) differentiation
  C) cost focus
  D) competitive scope
  E) diversification

- Which of Porter's competitive strategies recommends that a company emphasize a particular buyer group or geographic market and attempts to seek a cost advantage in its targeted segment?
  A) differentiation
  B) cost leadership
  C) differentiation focus
  D) competitive advantage
  E) cost focus

- Orphagenix, a small biotech firm, avoids head-to-head competition with large pharmaceutical companies by developing orphan drugs to target diseases that affect fewer than 200,000 people. This is an example of which of Porter's generic strategies?
  A) differentiation
  B) cost leadership
  C) differentiation focus
  D) competitive advantage
  E) cost focus

- When a company following a differentiation strategy ensures that the higher price it charges for its higher quality is not priced too far above the price of the competition, the company is using the process of
  A) low-cost differentiation.
  B) cost leadership.
  C) cost proximity.
  D) basic differentiation.
  E) price fixing.

- Which of the following is NOT one of the risks of a cost leadership strategy?
  A) The technology that the organization has been using changes.
  B) Achieving excessive success causes jealousy amongst competitors.
  C) Competitors can achieve viable imitations.
  D) Other bases for cost leadership erode.
  E) Proximity in differentiation is lost.

A. Which of the following is NOT one of the risks of the focus strategy?
   A) The target segment's structure erodes.
   B) The segment's differences from other segments narrow.
   C) The advantages of a broad line increase.
   D) Focusers exit the industry.
   E) Demand disappears for the product in the target segment.

B. According to Porter, a business unit in a competitive marketplace with no generic competitive strategy is
   A) achieving synergy.
   B) practicing innovative leadership.
   C) stuck in the middle.
   D) not goal directed.
   E) last in line.

C. Most entrepreneurial ventures follow
A) differentiation strategies.
B) focus strategies.
C) no strategies.
D) cost leadership strategies.
E) all of the above

D. Which of the following is NOT one of the eight dimensions of quality?
A) serviceability
B) durability
C) performance
D) value
E) features

E. A car's cruise control, known as a "bell and whistle," is an example of which of the eight dimensions of quality?
A) performance
B) features
C) reliability
D) durability
E) aesthetics

- The focus strategies will likely predominate when many small and medium sized local companies compete for relatively small shares of the total market in a(n)
A. united industry.
B. fragmented industry.
C. consolidated industry.
D. isolated industry.
E. integrated industry.

- As an industry matures while overcoming fragmentation and becomes dominated by a small number of large companies, it tends to become a(n)
A. united industry.
B. fragmented industry.
C. consolidated industry.
D. isolated industry.
E. integrated industry.

- method developed in the mid-1990s as an efficient means to quickly consolidate a fragmented industry can be referred to as a
A) merger.
B) strategic rollup.
C) cost strategy.
D) differentiation strategy.
E) focus strategy.

- As an industry becomes hypercompetitive, firms initially respond by
A) raising entry barriers.
B) moving into untapped markets.
C) attacking the strongholds of other firms.
D) competing on cost and quality.
E) working their way to a situation of perfect competition

- The book Hypercompetition was written by
A) Porter.
B) D'Aveni.
C) Mintzberg.

D) Maslow.
E) Drucker.

- The last stage of a hypercompetitive industry is reached when the remaining large global competitors
  A) raise entry barriers.
  B) move into untapped markets.
  C) attack the strongholds of other firms.
  D) compete on cost and quality.
  E) work their way to a situation of perfect competition in which no one has any advantage and profits are minimal.

- According to D'Aveni
  A) except for a few stable industries, strategy initiatives do not provide sustainable competitive advantage.
  B) hypercompetition is rare.
  C) it is enough to gain competitive advantage by being the lowest cost competitor.
  D) the theory of hypercompetition is not supported by any research.
  E) the American home appliance industry was immune to hypercompetition.

- Porter recommends that a division with tight cost control, frequent detailed control reports, a well structured organization, and quantitatively based incentives is required for which of the following generic competitive strategies?
  A) focus
  B) differentiation
  C) cost leadership
  D) focus differentiation
  E) concentration

- If it is to be successful, Porter advises that a division possess strong marketing abilities, product engineering, a creative flair, strong capability in basic research and a corporate reputation for quality or technological leadership, for which one of the following generic competitive strategies?
  A) focus
  B) differentiation
  C) overall cost leadership
  D) vertical growth
  E) concentration

- Product engineering, creative flair, and strong cooperation from channels are commonly required skills and resources for which of Porter's generic strategies?
  A) cost leadership
  B) differentiation
  C) cost leadership focus
  D) differentiation focus
  E) collusion

- Intense supervision of labor, sustained capital investment and access to capital are commonly required skills and resources for which of Porter's generic competitive strategies?
  A) cost leadership
  B) differentiation
  C) cost leadership focus
  D) differentiation focus
  E) collusion
- Amenities to attract highly skilled labor, scientists, or creative people is a common organizational requirement for which of Porter’s generic competitive strategies?
  A. cost leadership
  B. differentiation
  C. cost leadership focus

D. differentiation focus
E. collusion

- Incentives based on meeting strict quantitative targets is a common organizational requirement for which of Porter's generic competitive strategies?
  A) cost leadership
  B) differentiation
  C) cost leadership focus
  D) differentiation focus
  E) collusion

- According to Barney, under which condition would tacit collusion most likely be successful?
  A) There is a large number of identifiable competitors.
  B) Costs are not similar among firms.
  C) One firm tends to act as the price leader.
  D) Sales are characterized by a high frequency of large orders.
  E) There are low barriers to entry in the industry.

- When firms follow each other's lead to reduce the level of competition such as GE and Westinghouse did in steam turbines, it is referred to as
  A) explicit collusion.
  B) a strategic alliance.
  C) a mutual service consortium.
  D) conscious parallelism.
  E) partnering.

- A secret salary cap was the contention in a 2012 collusion lawsuit filed against
  A) KFC.
  B) the National Football League.
  C) GE.
  D) Major League Baseball.
  E) ESPN.

- Jet airplane manufacturers often enter into strategic alliances to
  A) obtain new capabilities.
  B) obtain access to specific markets.
  C) reduce financial risk.
  D) reduce political risk.
  E) preserve autonomy.

- The "cell" chip created by IBM, Sony Electronics, and Toshiba was a result of pooling their resources in a
  A) joint venture.
  B) licensing arrangement.
  C) value-chain partnership.
  D) mutual service consortium.
  E) competitive advantage

- Disadvantages of joint ventures include all of the following EXCEPT
  A) loss of control.
  B) lower profits.
  C) probability of conflicts with partners.

D) likely transfer of technological advantage to the partner.
E) mutual dependence.

- When P&G (the maker of Folgers and Millstone coffee) worked with Mr. Coffee, Krups, and Hamilton Beach to market Home Café, they engaged in a
  A) joint venture.
  B) licensing arrangement.
  C) value-chain partnership.
  D) mutual service consortium.
  E) competitive advantage.

- In licensing arrangements
  A) the licensee can gain technical expertise.
  B) companies can be aided in entering new countries directly.
  C) the licensee might become a competitor to the licensing firm.
  D) companies should never license their distinctive competencies.
  E) all of the above

- Tacit collusion
  A) involves direct communication among competing firms.
  B) is most likely to be successful if there are many competitors.
  C) is seen with conscious parallelism as practiced by GE and Westinghouse.
  D) is not illegal.
  E) is most effective when the industry does not have a firm that acts as a price leader.

- Collusion
  A) may be explicit.
  B) may be tacit.
  C) is illegal when explicit.
  D) can be illegal even when tacit.
  E) all of the above

- The active cooperation of firms within an industry to reduce output and raise prices to get around the normal law of supply and demand is referred to as
  A) a strategic alliance.
  B) collusion.
  C) a strategic roll up.
  D) a merger.
  E) licensing.

- The two general types of cooperative strategies are
  A) competitive and functional.
  B) collusion and competitive.
  C) strategic alliances and collusion.
  D) strategic alliances and competitive.
  E) competitive and collusive alliances.

- Which of the following is NOT a reason companies or business units may form a strategic alliance?
  A) to obtain access to specific markets
  B) to reduce financial risk
  C) to reduce political risk
  D) to set prices in the industry
  E) to learn new capabilities

- The kind of strategic alliance in which there is a partnership of similar companies in similar industries who pool their resources to gain a benefit that is too expensive to develop alone is the
  A) joint venture.
  B) licensing agreement.
  C) value-chain partnership.
  D) mutual service consortia.
  E) holding company.

- Which strategy has been used successfully by Yum! Brands to establish KFC and Pizza Hut restaurants across the globe?
  A) joint venture
  B) licensing arrangement
  C) strategic alliance
  D) marketing strategy
  E) value-chain partnership

- The kind of strategic alliance in which a company forms a strong and close long-term relationship for mutual advantage with a key supplier or distributor is the
  A) joint venture.
  B) licensing agreement.
  C) value-chain partnership.
  D) mutual service consortia.
  E) holding company.

- Which of the following is NOT considered a strategic alliance success factor?
  A) Have a clear strategic purpose.
  B) Operate with short-term time horizon.
  C) Agree on an exit strategy for when the partners' objectives are achieved or the partnership fails.
  D) Minimize conflicts among the partners by clarifying the objectives.
  E) Identify likely partnering risks and deal with them when the alliance is formed

**Sample Questions Chapter 6**

**MULTIPLE CHOICE**

1. **What type of innovation is driven by customer needs?**
   a. market push
   b. technology push
   c. market pull
   d. technology pull

2. **If a company is inventing new technology in the pursuit of the technological advance itself, it would be responding to which force?**
   a. market push
   b. technology push
   c. market pull
   d. technology pull

3. **When 3M developed thin plastic film with microlouvers they did not have a commercial application in mind. Innovation of this type would be classified as:**
   a. market pull
   b. technology pull

c. market push
d. technology push

**4. Which of the following questions helps to determine if customers need a product or service that your company's thinking of developing?**

a. do customers have a problem that no existing product or service solves
b. is your solution to the problem significantly better than existing alternatives
c. both questions are important
d. neither question is important

**5. What would be a reason why companies often fail to assess the needs of a customer?**

a. product developers tend to be strong believers in the value of the products that they are developing
b. product developers often fail to gather information about customer needs because they often underestimate what they already know
c. all customer needs can be discovered by talking to customers
d. developers often know which customers to ask about their needs

**6. Which theory helps to explain why new products must offer benefits to customers that are significantly greater than those offered by existing alternatives?**

a. ethnography
b. penetration pricing theory
c. prospect theory
d. sampling frame theory

**7. Why is developing a profitable product difficult?**

a. you have to figure out a level of sales at which you can make money
b. you have to estimate future costs
c. you have to estimate future profits
d. all of the above are difficult

Shared via CourseHero.com

8. **What pricing theory includes setting a low price to get the highest possible market share?**
   a. lead user pricing
   b. price skimming
   c. penetration pricing
   d. bundling

9. **For which pricing factor do you need to consider the relationship between the price of a product and customer adoption patterns?**
   a. the timing of market entry
   b. the nature of the market into which you are selling
   c. how products are paid for in your industry
   d. the company's cost structure

10. **If prices are routinely discounted for your product, which factor needs particular attention when setting the price?**
   a. the timing of market entry
   b. the nature of the market into which you are selling
   c. how products are paid for in your industry
   d. the company's cost structure

11. **What pricing strategy involves offering different forms of a product of different quality at different prices to different sets of customers based on their needs?**
   a. bundling
   b. lead user pricing
   c. versioning
   d. price skimming

12. **If you have a product where one component is purchased once and another component is purchased repeatedly, under which pricing strategy would you probably want to price the nonrepeat component low to encourage customers to make an initial purchase into your system?**
   a. bundling
   b. lead user pricing
   c. versioning
   d. price skimming

13. **Why is market research useful?**
   a. it identifies potential customers and the market segments that are most interested in a product or service
   b. it specifies the product features that customers prefer
   c. it identifies the factors that influence customer purchasing decisions
   d. all of the above

14. **Which method of collecting data involves the description of a group and its activities based on observation and participation?**
   a. surveys
   b. ethnography
   c. lead user technique
   d. all of the above

This study resource was shared via coursehero.com

15. **Which method of collecting data solicits information only from people who are so unhappy with existing products that they are trying to develop products to meet their won needs?**
    a. surveys
    b. focus groups
    c. lead user techniques
    d. ethnography

16. **What is a disadvantage of focus groups?**
    a. participants are more likely to answer all of the questions asked
    b. they have low response rates
    c. people prefer to complete surveys as compared to attend focus groups
    d. all of the above are disadvantages

17. **For which method of data collection do you attempt to gather information from a portion of the population in order to make inferences about the population?**
    a. focus groups
    b. ethnography
    c. surveys
    d. lead user technique

18. **Which approach to market research has the advantage of getting information relatively cheaply from a representative sample?**
    a. iterative approaches
    b. ethnography
    c. focus groups
    d. survey research

19. **If you really needed to get useful information from customers in a new market, which approach to market research would you be most likely to use?**
    a. iterative approaches
    b. ethnography
    c. lead user method
    d. focus groups

This study resource was shared via CourseHero.com

CHAPTER FOUR

ENVIRONMENTAL SCANNING AND INDUSTRY ANALYSIS

Multiple Choice

44. The combination of the degree of complexity and the degree of change existing in an organization's external environment is/are called

a. strategic factors.

b. strategic issues.

c. environmental uncertainty.

d. strategic fit.

e. scenarios.

c. (pp.72-73)

45. According to the text, one reason environmental uncertainty is a threat to strategic managers is because

a. it is a costly and time consuming process.

b. the strategic manager cannot control the environment.

c. it forces the strategic manager to be reactive.

d. it hampers their ability to develop long-range plans.

e. there are too many uncontrollable variables.

46. What are the two interacting environments that provide the variables and forces affecting how an organization operates and exists?

a. competitive and task environment

b. government and competitive environment

c. economic and local environment

d. task and societal environment

e. resource and economic environment

47. Which of the following is NOT descriptive of external environmental scanning?

a. Used as a tool to ensure a corporation's long-term health.

b. Used to monitor, evaluate, and disseminate information from the external environment to key people within the corporation.

This study resource was

c. Used to identify opportunities and threats.

d. It is a tool that corporations use to avoid strategic surprise.

e. Used to identify strengths and weaknesses.

48. The corporation's task environment

a. encompasses the physical working areas of the organization.

b. includes those elements or groups within an organization's industry.

c. is an advisory committee to top-management.

d. is an accounting of the many jobs within an organization.

e. is the job requirement specification listing necessary skills and abilities.

49. Which of the following is NOT a member of the organization's task environment?

a. local communities

b. trade associations

c. governments

d. technological developments

e. special interest groups

d. (p.73)

50. Which of the following is NOT a force in the societal environment?

a. political-legal forces

b. labor forces

c. economic forces

d. technological forces

e. sociocultural forces

b. (p.73)

51. Which societal force regulates the values, mores, and customs of society?

a. political-legal forces

b. labor forces

c. economic forces

d. technological forces

e. sociocultural forces

52. Which societal force generates problem-solving inventions?

a. political-legal forces

b. labor forces

c. economic forces

d. technological forces

e. sociocultural forces

53. The transferring of profits from a foreign subsidiary to a corporation's headquarters is known as

a. repatriation of profits.

b. expatriation of profits.

c. transfer of income.

d. property transfer.

e. repatriation of revenue.

54. is a response to the limited farmland for a growing population.

a. Precision farming

b. A virtual personal assistant

c. A genetically altered organism

d. Alternative energy

e. Specific farming

a. (p.75)

55. In the future, smart robots could perform activities such as

a. conduct more sophisticated factory work.

b. run errands.

c. do household chores.

d. assist the disabled.

e. All of the above are correct.

56. Which of the following is NOT one of the eight sociocultural trends mentioned in the text?

a. Increasing environmental awareness.

b. Growth of the seniors market.

c. Decline of the mass market.

d. Increasing food consumption.

e. Generation Y boomlet.

d. (pp.76-77)

57. According to the U.S Census Bureau, by the year 2050 the percentage of Hispanics in the U.S. population should reach approximately

a. 75%.

b. 15%.

c. 9%.

d. 50%.

e. 25%.

58. The racial/ethnic group with the flattest predicted increase is

a. Whites.

b. Blacks.

c. Hispanics.

d. American Indians.

e. Asians.

59. A company with significant assets and activities in multiple countries is known as a(n) .

a. multinational corporation

b. repatriated corporation

c. transferable corporation

d. duplicate corporation

e. emancipated corporation

60. According to Ohmae, which three developed areas make up "the triad?"

a. China, Japan, and Taiwan

b. Europe, Asia, and North America

c. Western Europe, the United States, and Asia

d. Japan, North America, and Western Europe

e. Southeast Asia, South America, and the Middle East

61. One variable that is present in the international societal environment which is not present in the domestic societal environment is

a. tax laws.

b. protectionist sentiment.

c. demographics.

d. wage levels.

e. GDP trends.

62. According to the text, which one of the following is NOT a factor in why few firms successfully monitor strategic issues?

a. There are too many uncontrollable and extenuating factors which affect the external environment.

b. The personal values of a corporation's top managers bias their perception of the external environment.

c. Different companies often respond differently to the same environmental changes.

d. Different ability of their strategic managers to recognize and understand strategic issues and factors.

e. Different interpretation of what their strategic managers perceive to be important in the external environment.

63. A term which describes when strategic managers have a willingness to reject unfamiliar as well as negative information is called

a. strategic paralysis.

b. corporate inertia.

c. management indifference.

d. strategic myopia.

e. Corporate apathy

64. The issues priority matrix used in environmental scanning is composed of two axis or dimensions which are labeled

a. importance to the industry and likelihood of occurrence.

b. industry growth rate and probable competitive position.

c. probability of occurrence and probable impact on the corporation.

d. probable industry attractiveness and business strength/competitive position.

e. issue importance and relative power of stakeholder groups.

65. What are the environmental strategic issues that are judged to have a high probability of occurrence and a high probability of impact on the corporation?

a. external strategic factors

b. scenarios

c. industry forces

d. strategic issues

e. historical concerns

66. Industry analysis is primarily concerned with a corporation's

a. societal environment.

b. task environment.

c. sociocultural environment.

d. economic environment.

e. internal environment.

67. According to Porter, the corporation is most concerned with

a. the level of intensity of competition within an industry.

b. the aggregate level of demand for a product line.

c. a market's position on its life cycle.

d. the amount of pressure from the societal environment.

e. the level of government action in an industry.

68. In addition to Porter's Five Forces Model, another force added in the text is

a. bargaining power of unions.

b. other stakeholders.

c. threat of prospects.

d. threat of shareholders.

e. bargaining strength of employees.

69. The collective strength of the interaction of potential entrants, buyers, substitutes, suppliers, firm rivalry, and other stakeholders determine

a. the level of government action in an industry.

b. the probable industry attractiveness and business strength position.

c. the ultimate profit potential in the industry measured in terms of long-run return on invested capital.

d. the aggregate level of demand for a product line.

e. the amount of pressure from the societal environment.

70. According to the Porter model, a strong force can be regarded as a(n)

a. benefit.

b. opportunity.

c. advantage.

d. threat.

e. risk.

71. According to the Porter model, a low force can be regarded as a(n)

a. benefit.

b. opportunity.

c. advantage.

d. threat.

e. risk.

72. Which of the following is NOT descriptive of "threat of new entrants?"

a. Depends on the presence of entry barriers.

b. New entrants have a desire to gain market share.

c. Depends on the reaction of existing competitors.

d. Rivalry among existing firms in the industry.

e. New entrants bring new capacity and substantial resources.

d. (pp.83-84)

73. Which barrier to entry uses brand identification to force new entrants to spend heavily to overcome existing customer loyalty?

a. rivalry among existing firms

b. switching costs

c. capital requirements

d. product differentiation

e. access to distribution channels

d. (pp.83-84)

74. Which barrier to entry uses cost advantages associated with large size?

a. rivalry among existing firms

b. switching costs

c. cost disadvantages independent of size

d. capital requirements

e. economies of scale

e. (pp.83-84)

75. Which barrier to entry uses cost advantages NOT easily imitated by new entrants such as patents on proprietary product knowledge or government subsidies?

a. government policy

b. switching costs

c. cost disadvantages independent of size

d. capital requirements

e. economies of scale

c. (pp.83-84)

76. Intel was able to gain a significant cost advantage over its competitors because of

a. capital requirements.

b. product differentiation.

c. switching costs.

d. economies of scale.

e. access to distribution.

d. (pp.83-84

77. When one corporation follows the actions of other companies due to competitive activity such as price reduction, this increases the

a. rivalry among existing firms.

b. rivalry among bankrupt firms.

c. threat of new entrants.

d. threat of substitute products.

e. threat of substitute services.

78. Which of the following is NOT descriptive of "rivalry among existing firms?"

a. Industry growth is slow, generating fights for market share by expansion-oriented companies.

b. Fixed costs are high or the product is perishable.

c. Capacity is normally added in large increments.

d. Competitors are either numerous or roughly equal in size and power.

e. A competitive move by one firm will not have a noticeable effect on its competitors.

79. Which of the following is NOT descriptive of "threat of substitute products or services?"

a. Substitute products appear to be different, but satisfy the same need as another product.

b. If the cost of switching is low, substitutes may have a strong effect on an industry.

c. Competition occurs only with those corporations within an industry.

d. Possible substitute products or services may not appear to be easily substitutable.

e. Substitutes limit the potential returns of an industry.

80. A sugar company worried that consumers may buy artificial sweetener instead of sugar is concerned about the

a. threat of new entrants.

b. rivalry among existing firms.

c. threat of substitute products.

d. bargaining power of suppliers.

e. bargaining power of buyers.

81. Which force places a ceiling on the price firms in an industry can probably charge?

a. threat of new entrants

b. threat of substitutes

c. bargaining power of buyers

d. bargaining power of suppliers

e. rivalry among existing firms

82. Which of the following is NOT descriptive of the "bargaining powers of buyers?"

a. Changing suppliers costs very little.

b. Alternative suppliers are plentiful because of standardization.

c. The purchased product represents a high percentage of buyer's costs.

d. The buyer buys in large proportion of seller's product or service.

e. The product earns high profits and is very insensitive to costs and service differences.

83. When General Motors considers making its own automotive parts, Delphi Automotive Supply Company would be concerned with the

a. bargaining power of suppliers.

b. bargaining power of buyers.

c. rivalry among existing competitors.

d. threat of substitutes.

e. threat of new entrants.

84. Which of the following is NOT descriptive of the "bargaining power of suppliers?"

a. Substitutes are readily available.

b. The product or service is unique.

c. The supplier industry is dominated by a few companies, but sells too many.

d. The purchasing industry buys only a small portion of the supplier group's goods and services.

e. Suppliers are able to integrate forward and compete directly with their present customers.

85. Other software companies could not compete with Microsoft based on the hesitation of buyers to try a new software, which resulted in the

a. threat of new entrants.

b. bargaining power of buyers.

c. threat of substitutes.

d. bargaining power of suppliers.

e. rivalry among existing firms.

86. A company or an industry whose product works well with a firm's product and without which the product would lose much of its value is considered to be a(n)

a. complementor.

b. oligopoly.

c. strategic group.

d. industry leader.

e. staggered company.

87. The relationship that was discussed in the text that used to illustrate the term complementor is

a. Microsoft and Intel.

b. General Motors and Ford.

c. Hewlett Packard and Compaq.

d. Gateway and Dell.

e. America Online and CompuServe.

88. According to the text, the strength of each of the six driving forces of industry competition varies according to the

a. effectiveness of the strategic planning.

b. stage of industry evolution.

c. industry growth rate and competitive position.

d. changes in the political environment.

e. amount of government regulation.

89. The effects of a fragmented industry include

a. decrease in costs.

b. decrease in prices.

c. the integration of companies.

d. product differentiation.

e. All of the above are correct.

90. The U.S. major home appliance industry, including the companies of Maytag, Whirlpool, General Electric, and Electrolux, is an example of an industry

a. that has evolved from an oligopoly to a monopoly.

b. in which each company maintained a distinct product line.

c. that was once fragmented changing to an oligopoly.

d. that has experienced consistent, increasing sales.

e. experiencing a successful strategy of product specialization because of product differentiation.

91. An industry dominated by a few large firms, all of which struggle with product differentiation, is known as

a. multidomestic.

b. consolidated.

c. global.

d. indigenous.

e. worldwide.

92. In which type of international industry do corporations tailor their products to the specific needs of consumers in a particular country?

a. consortium industry

b. global industry

c. indigenous industry

d. multidomestic industry

e. worldwide industry

93. Which type of international industry manufactures and sells the same products with only minor adjustments made for individual countries around the world?

a. consortium industry

b. global industry

c. indigenous industry

d. multidomestic industry

e. worldwide industry

94. Which type of industry is typical of a global industry?

a. retailing

b. banking

c. tires

d. insurance

e. health care

95. The two factors that tend to determine whether an industry will be primarily multidomestic or primarily global are (1) the pressure for coordination within the MNCs operating in that industry and (2):

a. the pressure for local responsiveness on the part of individual country markets.

b. the power of the local country governments to restrict MNC actions.

c. the need for brand management in the various MNCs operating within that industry.

d. the importance of differentiating with integrating mechanisms in regional cooperatives.

e. the likelihood of terrorist activity impacting that industry.

96. When the pressure for coordination is strong and the pressure for local responsiveness is weak for

a. global.

b. consolidated.

c. multidomestic.

d. risky.

e. indigenous.

97. When the pressure for local responsiveness is strong and the pressure for coordination is weak for multinational corporations in an industry, the industry will bea. global.

b. consolidated.

c. multidomestic.

d. risky.

e. indigenous.

98. What is a set of business units or firms that "pursue similar strategies with similar resources?"

a. strategic group

b. collective collaboration

c. cooperative

d. integral association

e. strategic assembly

99. Plotting the market position of industry competitors on a two-dimensional graph using two strategic variables as the vertical and horizontal axes, is a process called

a. correlation.

b. ranking.

c. charting.

d. association.

e. mapping.

100. Which of the following is NOT one of the general strategic types

a. initiators

b. reactors

c. analyzers

d. prospectors

e. defenders

a. (pp.88-89)

101. Which strategic orientation do companies have that has a limited product line and focuses on improving the efficiency of their existing operations?

a. initiators

b. reactors

c. analyzers

d. prospectors

e. defenders

102. A company that operates in at least two different product-market areas in which one product is stable and the other one is variable, uses which method of strategic orientation?

a. initiators

b. reactors

c. analyzers

d. prospectors

e. defenders

103. Companies with fairly broad product lines that focus on product innovations and market opportunities, uses which method of strategic orientation?

a. initiators

b. reactors

c. analyzers

d. prospectors

e. defenders

104. Corporations that lack a consistent strategy-structure-culture relationship use which method of strategic orientation?

a. initiators

b. reactors

c. analyzers

d. prospectors

e. defenders

105. When an industry becomes hypercompetitive, it is characterized by

a. high entry barriers.

b. low rivalry.

c. short product life cycles.

d. industry fragmentation.

e. sustainable competitive advantages.

106. To succeed in a hypercompetitive industry, companies must be willing to

d. (p.90)

a. cut prices below marginal costs.

b. pursue market share instead of profits.

c. operate in the ethical gray zone.

d. cannibalize their own successful product lines.

e. reduce spending on research and development.

107. A table which summarizes the strategic factors facing a particular industry is called a(n

a. EFAS Table.

b. IFAS Table.

c. SFAS Table.

d. TOWS Matrix.

e. industry matrix.

108. Those variables that can affect significantly the overall competitive positions of companies within any particular industry are known as

a. external strategic factors

b. internal strategic factors

c. matrix factors

d. key success factors

e. none of the above

109. A study of product innovation in the scientific instrument field and machine tool industries found the percentage of all new product innovations being initiated by customers in the form of inquiries and complaints to be

a. 100%.

b. 80%.

c. 50%.

d. 0%.

e. 20%.

110. The percentage of large U.S. companies reporting competitive intelligence activities within their firms is

a. 10%.

b. 27%.

c. 57%.

d. 78%.

e. 97%.

111. A formal program of gathering information on a company's competitors is referred to as

a. statistical modeling.

b. competitive intelligence.

c. competitive strategy.

d. quantitative forecasting.

e. qualitative matrix.

112. Which of the following is true in regards to competitive intelligence?

a. The Economic Espionage Act makes it illegal to steal any material that a business has taken "reasonable efforts" to keep secret.

b. The Society of Competitive Intelligence Professionals urges strategists to stay within the law and to act ethically when searching for information.

c. The Society of Competitive Intelligence Professionals states that illegal activities are foolish because the vast majority of worthwhile competitive intelligence is available publicly via annual reports, web sites, and libraries.

d. A number of firms hire consultants with questionable reputations who do what is necessary to get information when the selected methods do not meet SPIC ethical standards or are illegal.

e. All of the above.

e. (pp.93-94)

113. The primary activity of competitive intelligence is to

a. monitor competitors.

b. Engage in corporate espionage

c. Survey stakeholders

d. Determine industry R & D statistics

e. All of the above.

114. One criterion used in evaluating intelligence gathering is

a. the truthfulness and reliability of the information.

b. the ability to transfer the information into revenues.

c. the ability to use the information in cost reduction.

d. the ability for lower level employees to understand.

e. the opportunity for suppliers to lower their costs.

115. Tupperware learned the danger of

a. home parties

b. selling air-tight containers

c. faulty underlying assumptions

d. failure to track sales

e. none of the above.

116. A study of nearly 500 of the world's largest corporations indicated which of the following to be the most widely practiced form of forecasting?

a. statistical modeling

b. scenario-writing

c. delphi technique

d. brainstorming

e. trend extrapolation

117. Over of companies use trend extrapolation.

a. 20%

b. 30%

c. 40%

d. 50%

e. 70%

118. What is trend extrapolation?

a. The process of converting intuition and hunches into reality.

b. The extension of present trends into the future.

c. Process of asking some authorities in the area to make an "informed guess" about the future.

d. Given a large amount of historical data on certain interrelated factors, one attempts to conceptualize alternative futures.

e. Detecting faulty underlying assumptions before forecasting errors can occur.

119. One means of conducting a trend extrapolation is handled through

a. iterative modeling.

b. time series methods.

c. repeated processes.

d. time extrapolation.

e. rotating time methods.

120. A non-quantitative approach to forecasting that requires simply the presence of people with some knowledge of the situation to be predicted is called

a. simulations.

b. the delphi technique.

c. signal monitoring.

d. brainstorming.

e. scenarios.

121. One rule necessary for effective brainstorming is

a. scrutinize each idea generated.

b. propose ideas without mentally screening them.

c. calculating future earnings of each idea.

d. critique each idea for rationality.

e. forecast the success of each idea.

b. (p.96)

122. When managers have more faith in "gut feel" than "number crunching," it is better to use the forecasting technique of

a. brainstorming.

b. expert opinion.

c. trend extrapolation.

d. statistical modeling.

e. time series modeling.

123. A forecasting technique using quantitative measures that attempt to discover causal or at least explanatory factors that link two or more time series together is called

a. the delphi technique.

b. statistical modeling.

c. trend extrapolation.

d. trend-impact analysis.

e. morphological analysis.

124. The most widely used forecasting technique used after trend extrapolation is

a. statistical modeling.

b. simulations.

c. scenario-writing.

d. expert opinion.

e. brainstorming.

125. Which one of the following is NOT an element of industry scenarios?

a. Examine possible shifts in the societal variables.

b. Identify uncertainties in each of the six forces in the task environment.

c. Generate at least 15 scenarios.

d. Make a range of plausible assumptions about each important causal factor.

e. Analyze the industry situation that would prevail under each scenario.

c. (pp.96-97)

126. The technique recommended by the text to summarize an analysis of external strategic factors is called

a. IFAS.

b. EFAS.

c. SFAS.

d. S.W.O.T.

e. the issues priority matrix.

127. In the ERAS Table, the indicator of how well a particular company is responding to current and expected factors in its external environment is characterized by the

a. IFAS.

b. industry matrix.

c. total weighted score.

d. S.W.O.T. weighted score.

e. SFAS weighted score.

c. (pp.97-98)

CHAPTER SIX
STRATEGY FORMULATION: SITUATION ANALYSIS AND BUSINESS STRATEGY

Multiple Choice

1. The strategy formulation process includes all but one of the following.

   a. Strategic planning or long-range planning.
   b. Primarily analytical, not action oriented.
   c. Concerned with developing a corporation's mission, objectives, strategy, and policies.
   d. Developing long-range programs.
   e. Analyze corporation's strategic factors in light of current situation.

d. (p.138)

2. The concept that advocates management's attempt to find a strategic fit between external opportunities and internal strengths while working around external threats and internal weaknesses is called

   a. environmental analysis.
   b. position analysis.
   c. strategic analysis.
   d. objective analysis.
   e. situational analysis.

e. (p.138)

3. The particular capabilities and resources a firm possesses and the superior way in which they are used is called

   a. distinctive competencies.
   b. differentiating capabilities.
   c. situational proficiency.
   d. core competencies.
   e. distinctive characteristics.

a. (p.138)

4. An acronym for the assessment of the external and internal environments of the business corporation in the process of strategy formulation/strategic planning is

a. P.E.T.
b. M.B.O.
c. S.W.O.T.
d. S.B.U.
e. R.O.I.

c. (p.138)

5. According to a survey in the United Kingdom, the top tool used in strategic analysis is

a. A(N) analysis.
b. spreadsheet analysis.
c. analysis of critical success factors.
d. financial analysis of competitors.
e. core capabilities analysis.

b. (pp.138-139)

6. According to a survey in the United Kingdom, all of the following represent tools and techniques used in strategic analysis EXCEPT

a. spreadsheet analysis.
b. BTU analysis.
c. SWOT analysis.
d. financial analysis of competitors.
e. analysis of critical success factors.

b. (pp.138-139)

7. The T in SWOT represents

a. tactic.
b. threat.
c. tautology.
d. temporal.
e. time.

b. (p.138)

8. The text authors note that the essence of strategy is

a. opportunity divided by capacity.
b. strength divided by opportunity.
c. threat divided by capacity.
d. threat divided by opportunity.
e. opportunity divided by threat.

a. (p.139)

9. All of the following reflect criticisms of the SWOT analysis EXCEPT

a. uses no weights to reflect priorities.
b. it only requires a single level of analysis.

c. a rational link to strategy implementation.
d. ambiguity in words and phrases.
e. generation of lengthy lists.

c. (p.139)

10. One way to summarize a corporation's strategic factors is to combine the external factors with the internal factors into a

a. SFAS Matrix.
b. IFAS Table.
c. EFAS Table.
d. TOWS Matrix.
e. TOPS Table.

a. (p.139)

11. In the development of a SFAS matrix, the first step is to

a. enter the ratings of how the company's management is responding to each of the strategic factors.
b. calculate the weighted scores.
c. list the most important EFAS and IFAS items.
d. indicate short-term for the duration.
e. enter the weights for all of the internal factors.

c. (p.139)

12. SFAS is an acronym that represents

a. Strategy Factors Analysis Strategy.
b. Strategic Factors Analysis Summary.
c. Strength Factors Alliance Strategy.
d. Summary Factors Alliance Strategy.
e. Strategic Factoring Analysis Summary.

b. (p.139)

13. A corporation's specific competitive role which is so well-suited to the firm's internal and external environment that other corporations are NOT likely to challenge or dislodge it.

a. propitious niche.
b. strategic fit
c. common thread
d. business screen
e. implicit strategy

a. (p.140)

14. According to the text, unique market opportunities that are available for only a particular time are called

a. situational occasions.
b. critical openings.
c. business opportunisms.
d. strategic windows.
e. crucial moments.

d. (p.140)

15. One company that has successfully found a propitious niche is
    a. Coca-Cola
    b. PepsiCo
    c. WalMart
    d. Frank J. Zamboni & Company
    e. Disney

d. (p.140)

16. Which of the following is NOT one of the reasons why the corporation's current mission and objectives should be periodically reexamined?

    a. Inappropriate mission statement may cause performance problems.
    b. A corporation's objectives could be inappropriately stated or outdated.
    c. The mission statement can be too narrow, thus limiting its effectiveness.
    d. Changing the mission or objectives could interrupt the continuity of the organization's operation.
    e. Objectives and strategies might conflict with one another.

d. (pp.140-141)

17. The technique that illustrates how management can match the external opportunities and threats with its strengths and weaknesses to yield four sets of strategic alternatives is called a (an)

    a. IFAS Table.
    b. EFAS Table.
    c. SFAS Table.
    d. TOWS Matrix.
    e. Issues Priority Matrix.

d. (p.141)

18. In a TOWS Matrix, SO Strategies

    a. are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
    b. attempt to take advantage of opportunities by overcoming weaknesses.
    c. are basically defensive and primarily act to minimize weaknesses and avoid threats.
    d. consider a company's or unit's strengths as a way to avoid threats.
    e. are ways to get strategists to think "out of the box."

a. (p.142)

19. In a TOWS Matrix, ST Strategies

    a. are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
    b. attempt to take advantage of opportunities by overcoming weaknesses.
    c. are basically defensive and primarily act to minimize weaknesses and avoid threats.
    d. consider a company's or unit's strengths as a way to avoid threats.
    e. are ways to get strategists to think "out of the box."

d. (p.142)

20. In a TOWS Matrix, WO Strategies

a. are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
b. attempt to take advantage of opportunities by overcoming weaknesses.
c. are basically defensive and primarily act to minimize weaknesses and avoid threats.
d. consider a company's or unit's strengths as a way to avoid threats.
e. are ways to get strategists to think "out of the box."

b. (p.142)

21. In a TOWS Matrix, WT Strategies

a. are generated by thinking of ways in which a company or business unit could use its strengths to take advantage of opportunities.
b. attempt to take advantage of opportunities by overcoming weaknesses.
c. are basically defensive and primarily act to minimize weaknesses and avoid threats.
d. consider a company's or unit's strengths as a way to avoid threats.
e. are ways to get strategists to think "out of the box."

c. (p.142)

22. In a TOWS Matrix, SO is the attempt by the company to combine

a. strengths and opportunities.
b. strengths and threats.
c. strengths and weaknesses.
d. opportunities and threats.
e. opportunities and weaknesses.

a. (p.142)

23. In a TOWS matrix, SW is the attempt by the company to combine

a. strengths and opportunities.
b. strengths and threats.
c. strengths and weaknesses.
d. opportunities and threats.
e. SW is not a valid combination.

e. (p.145)

24. Business strategy focuses on

a. ensuring that the company maintains the existing market share that it has historically enjoyed.
b. improving the competitive position of a corporation's products or services within the industry or market segment served.
c. providing adequate shareholders' return on investment.
d. preventing the competition from gaining a competitive edge by undermining their marketing plan.
e. recovering the competitive lead by using all available resources that the company can provide.

b. (p.145)

25. Business strategy is composed of

a. corporate and competitive strategy.
b. functional and divisional strategy.
c. competitive and cooperative strategy.
d. corporate and cooperative strategy.
e. divisional and competitive strategy.

c. (p.145)

26. Which of the following is NOT one of the questions that development of a competitive strategy should raise?

a. Should we compete on the basis of cost?
b. Should we compete head-to-head with major competitors?
c. Should we differentiate our products or services on some basis other than cost?
d. Should we compete by garnering political support of influential leaders?
e. Should we compete in a niche market that we can satisfy which is superior to that of the competition?

d. (p.145)

27. According to Porter, the competitive strategy that applies to the ability of the corporation or its business unit to design, produce, and market a comparable product more efficiently than its competitors is called

a. competitive scope.
b. differentiation.
c. concentration.
d. diversification.
e. lower cost.

e. (p.147)

28. According to Porter, the competitive strategy that applies to the ability to provide unique and superior value to the buyer in terms of product quality, special features, or after-sale service is called

a. competitive scope.
b. differentiation.
c. concentration.
d. diversification.
e. lower cost.

b. (p.147)

29. According to Porter, the term that applies to the breadth of a company's or business unit's target market is called

a. competitive scope.
b. differentiation.
c. concentration.
d. diversification.
e. lower cost.

a. (p.147)

30. When lower cost and differentiation strategies have a broad mass-market target, they are simply called

a. cost leadership and differentiation.
b. concentration and differentiation.
c. cost focus and focused differentiation.
d. competitive scope and focused differentiation.
e. diversification and concentration.

a. (p.148)

31. Which of Porter's competitive strategies support a low-cost position to give the company a defense against rivals while allowing it to earn profits during times of heavy competition?

a. differentiation
b. cost leadership
c. differentiation focus
d. competitive advantage
e. cost focus

b. (p.148)

32. Which of Porter's competitive strategies supports creating brand loyalty in the broad mass market to reduce customer sensitivity to price?

a. differentiation
b. cost leadership
c. differentiation focus
d. competitive advantage
e. cost focus

a. (pp.148-149)

33. When lower cost and differentiation strategies have a narrow focus on a market niche they are simply called

a. cost leadership and differentiation.
b. concentration and differentiation.
c. cost focus and differentiation focus.
d. competitive scope and focused differentiation.
e. diversification and concentration.

c. (p.149)

34. What are the two generic competitive strategies that Porter promotes as the means for outperforming other corporations in a particular industry?

a. competitive scope and differentiation
b. diversification and concentration
c. lower cost and competitive scope
d. concentration and lower cost
e. lower cost and differentiation

e. (p.149)

35. Which of Porter's competitive strategies recommends that a company emphasize a particular buyer group or geographic market and attempts to seek a cost advantage in its targeted segment?

a. differentiation
b. cost leadership
c. differentiation focus
d. competitive advantage
e. cost focus

e. (p.149)

36. Which of Porter's competitive strategies concentrates on seeking differentiation in a particular buyer group, product line segment, or geographic market?

a. differentiation
b. cost leadership
c. differentiation focus
d. competitive advantage
e. cost focus

c. (p.149)

37. When a company following a differentiation strategy ensures that the higher price it charges for its higher quality is not priced too far above, the company is using the process of

a. low-cost differentiation.
b. cost leadership.
c. cost proximity.
d. basic differentiation.
e. price fixing.

c. (p.149)

38. According to Porter, a business unit in a competitive marketplace with no generic competitive strategy is

a. achieving synergy.
b. practicing innovative leadership.
c. stuck in the middle.
d. not goal directed.
e. last in line.

c. (p.150)

39. Which of the following is NOT one of the risks of a cost leadership strategy?

a. The technology that the organization has been using changes.
b. Achieving excessive success causing jealousy amongst competitors.
c. Competitors can achieve viable imitations.
d. Cost focusers achieve even lower cost in niche market segments.
e. Proximity in differentiation is lost.

b. (p.150)

40. Which of the following is NOT one of the risks of the focus strategy?

a. The target segment's structure erodes.
b. The segment's differences from other segments narrow.
c. The advantages of a broad line increase.
d. The exit of focusers from the industry.
e. Demand disappears for the product in the target segment.

d. (p.150)

41. The risk of a strategy being imitated is characteristic of a risk derived from a_____strategy.

a. focus
b. cost leadership
c. differentiation
d. distinction
e. strength

a. (p.150)

42. When a company is concerned that cost proximity is lost, this company is worried about the risk of

a. distinction.
b. cost leadership.
c. focus.
d. differentiation.
e. being stuck in the middle.

d. (p.150)

43. Most entrepreneurial ventures follow
a. differentiation strategies
b. focus strategies
c. no strategies
d. cost leadership strategies
e. all of the above

b. (p.151)

44. Which of the following is NOT one of the eight dimensions of quality?

a. serviceability
b. durability
c. performance
d. value
e. features

d. (p.151)

45. According to the eight dimensions of quality, “bells and whistles” is another name for

a. performance.

b. features.

c. reliability.
d. durability.
e. aesthetics.

b. (p.151)

46. According to the eight dimensions of quality, a product's overall reputation is referred to as

a. performance.
b. status.
c. durability.
d. perceived quality.
e. reliability.

d. (p.151)

47. According to the eight dimensions of quality, the degree to which a product meets certain standards is known as

a. performance.
b. conformance.
c. serviceability.
d. aesthetics.
e. reliability.

b. (p.151)

48. According to the eight dimensions of quality, the degree to which a product will continue to function without any significant maintenance is also called

a. conformance.
b. aesthetics.
c. durability.
d. reliability.
e. dependability.

d. (p.151)

49. The focus strategies will likely predominate when many small and medium sized local companies compete for relatively small shares of the total market in a(n)

a. united industry.
b. fragmented industry.
c. consolidated industry.
d. isolated industry.
e. integrated industry.

b. (p.151)

50. As an industry matures while overcoming fragmentation and becomes dominated by a small number of large companies, it tends to become a(n)

a. united industry.
b. fragmented industry.
c. consolidated industry.
d. isolated industry.
e. integrated industry.

c. (p.152)

51. A method developed in the mid-1990s as a means to quickly consolidate a fragmented industry can be referred to as a(n)

a. strategic plan.
b. strategic rollup.
c. cost strategy.
d. differentiation strategy.
e. focus strategy.

b. (p.152)

52. As an industry becomes hypercompetitive, firms initially respond by

a. raising entry barriers.
b. moving into untapped markets.
c. attacking the strongholds of other firms.
d. competing on cost and quality.
e. working their way to a situation of perfect competition.

d. (p.152)

53. The book *Hypercompetition* was written by

a. Porter.
b. Drucker.
c. Mintzberg.
d. Maslow.
e. D'Aveni.

e. (p.152)

54. The last stage of a hypercompetitive industry is reached when the remaining large global competitors

a. raise entry barriers.
b. move into untapped markets.
c. attack the strongholds of other firms.
d. compete on cost and quality.
e. work their way to a situation of perfect competition in which no one has any advantage and profits are minimal.

e. (p.153)

55. A tactic is defined by the text as

a. a specific operating plan specifying how a strategy is to be implemented in terms of when and where it is to be put into action.
b. the first company to manufacture and sell a new product or service.
c. any action by a company or business unit that provides a direct or indirect indication of its intentions, motives, goals, or internal situation.
d. policies which link formulation and implementation of the strategy.
e. the ability to adapt a product or delivery system more closely to buyers' needs.

a. (p.153)

56. Porter recommends that a division with tight cost control, frequent detailed control reports, a well structured organization, and quantitatively-based incentives is required for which of the following generic competitive strategies?

a. focus
b. differentiation
c. overall cost leadership
d. vertical growth
e. concentration

c. (p.154)

57. If it is to be successful, Porter advises that a division with strong marketing abilities, product engineering, a creative flair, strong capability in basic research and a corporate reputation for quality or technological leadership, is required for which one of the following generic competitive strategies?

a. focus
b. differentiation
c. overall cost leadership
d. vertical growth
e. concentration

b. (p.154)

58. In order for a company to use a generic strategy of overall cost leadership, the organization must have

a. strong coordination among functions.
b. amenities to attract highly skilled labor.
c. subjective measurement and incentives.
d. efforts to target price insensitive customers.
e. tight cost control.

e. (p.154)

59. In order for a company to use a generic strategy of differentiation, the organization should have

a. tight cost control.
b. frequent, detailed control reports.
c. structured organization and responsibilities.
d. incentives based on meeting strict quantitative targets.
e. subjective measurement and incentives.

e. (p.154)

60. Timing tactics answer the question

a. who in the company implements strategy.
b. where the strategy is implemented.
c. what strategy is implemented.
d. when a company implements a strategy.

e. why a company implements a strategy.

d. (p.154)

61. The first company to manufacture and sell a product or service is called a(n)

a. opportunist.
b. first mover.
c. cost leader.
d. power broker.
e. ground breaker.

b. (p.154)

62. Which of the following is NOT an advantage of being a first mover?

a. The company is able to establish a reputation as an industry leader.
b. The company is able to move down the learning curve to assume the cost leader position.
c. A first mover can set the standard for all subsequent products in the industry.
d. Being first provides a company profit advantages for about ten years in consumer goods and about twelve years in industrial goods.
e. First movers may be able to keep R & D costs low by imitating the technological advances of others.

e. (p.154)

63. Which offensive tactic utilizes a head-to-head approach with the firm's competitor by matching every category of competition from price to promotion to distribution channel?

a. flanking maneuver
b. bypass attack
c. encirclement
d. frontal assault
e. guerilla warfare

d. (p.155)

64. When Kimberly-Clark introduced Huggies disposable diapers against Procter & Gamble's market leading Pampers, they were using the tactic

a. flanking maneuver.
b. frontal assault.
c. encirclement.
d. bypass attack.
e. guerilla attack.

b. (p.155)

65. Which tactic deals with where a company implements a strategy?

a. a timing tactic
b. a market location tactic
c. collusion
d. corporate strategy
e. cooperative strategy

b. (p.155)

66. Which offensive tactic advocates attacking a part of the market where the competitor is weak?

a. flanking maneuver
b. bypass attack
c. encirclement
d. frontal assault
e. guerilla warfare

a. (p.155)

67. Which offensive tactic proposes an indirect approach against the established competitor such as changing the rules of the game?

a. flanking maneuver
b. bypass attack
c. encirclement
d. frontal assault
e. guerilla warfare

b. (p.155)

68. Which offensive tactic usually occurs as an attacking company surrounds the competitor's position in terms of products or markets or both?

a. flanking maneuver
b. bypass attack
c. encirclement
d. frontal assault
e. guerilla warfare

c. (p.155)

69. According to the text, a rivalry that was based on a competition strategy of flanking maneuver occurred with

a. AMD and Intel.
b. Microsoft and Netscape.
c. Anheuser Busch and microbreweries.
d. Microsoft and Sun Systems.
e. Maytag and Roper.

a. (p.155)

70. Which of the following is NOT an offensive tactic?

a. frontal assault
b. flanking maneuver
c. guerilla warfare
d. raising structural barriers
e. encirclement

d. (pp.155-156)

71. Which offensive tactic utilizes a "hit and run" approach characterized by the use of small, intermittent assaults on different market segments?

a. flanking maneuver
b. bypass attack
c. encirclement
d. frontal assault
e. guerilla warfare

e. (pp. 155-156)

72. According to the text, the industry that has been affected by the tactic of guerilla warfare is

a. telecommunications.
b. Internet software.
c. computer software.
d. alcohol beverages.
e. microprocessors.

d. (pp.155-156)

73. Which of the following is true of defensive tactics?

a. Defensive tactics aim to lower the probability of attack.
b. Defensive tactics divert attacks to less threatening avenues.
c. Defensive tactics lessen the intensity of an attack.
d. Defensive tactics reduce short-term profitability to ensure long-term profitability.
e. All of the above.

e. (p.156)

74. Which defensive tactic acts to increase the perceived threat of retribution for an attack?

a. guerilla warfare
b. lower the inducement for attack
c. encirclement
d. raise structural barriers
e. increase expected retaliation

e. (p.156)

75. Which defensive tactic acts to block a challenger's logical avenues of attack such as exclusive agreements with distributors or an increase scale of economies to reduce unit costs?

a. guerilla warfare
b. lower the inducement for attack
c. encirclement
d. raise structural barriers
e. increase expected retaliation

d. (p.156)

76. Which defensive tactic acts to reduce a challenger's expectation of future profits to discourage entry into the industry?

a. guerilla warfare
b. lower the inducement for attack
c. encirclement
d. raise structural barriers
e. increase expected retaliation

b. (p.156)

77. According to Porter, strategies to raise structural barriers include all of the following EXCEPT

a. tie up suppliers by obtaining exclusive contracts.
b. avoid suppliers that also serve competitors.
c. decrease scale economies.
d. block channel access by signing exclusive agreements.
e. raise buyer switching costs by offering training to users.

c. (p.156)

78. The two general types of cooperative strategies are

a. competitive and functional.
b. collusion and competitive.
c. strategic alliances and collusion.
d. strategic alliances and competitive.
e. competitive and collusive alliances.

c. (pp.156-157)

79. Which of the following is NOT a reason companies or business units may form a strategic alliance?

a. To obtain technological and/or manufacturing capabilities.
b. To reduce financial risk.
c. To reduce political risk.
d. To build new facilities.
e. To learn new capabilities.

d. (p.158)

80. The kind of strategic alliance in which there is a partnership of similar companies in similar industries who pool their resources to gain a benefit that is too expensive to develop alone is the

a. joint venture.
b. licensing agreement.
c. value-chain partnership.
d. mutual service consortia.
e. holding company.

d. (pp.158-159)

81. An agreement in which a firm grants rights to another firm in another country or market to produce and sell a product is known as a(n)

a. joint venture.
b. licensing arrangement.
c. strategic alliance.
d. marketing strategy.
e. value-chain partnership.

b. (p.159)

82. The kind of strategic alliance in which a company forms a strong and close long-term relationship for mutual advantage with a key supplier or distributor is the

a. joint venture.
b. licensing agreement.
c. value-chain partnership.
d. mutual service consortia.
e. holding company.

c. (pp.159-160)

83. Which of the following is NOT considered a strategic alliance success factor?

a. have a clear strategic purpose
b. operate with short term time horizon
c. agree on an exit strategy for when the partners' objectives are achieved
d. minimize conflicts among the partners by clarifying the objectives
e. identify likely partnering risks and deal with them when the alliance is formed

b. (p.1

CHAPTER SEVEN

STRATEGY FORMULATION: CORPORATE STRATEGY

Multiple Choice

1. Which strategy specifies the firm's overall direction in terms of its general orientation toward growth, the industries or markets in which it competes, and the manner in which it coordinates activities and transfers resources among business units?

    a. Corporate
    b. Functional
    c. Divisiona
    d. Organizational
    e. Business

a. (p.164

2. Strategies that include the flow of financial and other resources to and from a company's product lines and business units can be referred to as
    a. Corporate strategies.
    b. Directional strategies.
    c. Cooperative strategies.
    d. Functional strategies.
    e. Business strategies.

a. (p.165)

3. Which kind of corporate strategy deals with the firm's overall orientation toward growth?
    a. Portfolio strategy
    b. Directional strategy
    c. Parenting strategy
    d. Cooperative strategy
    e. Functional strategy

b. (p.165)

4. Which kind of corporate strategy deals with the coordination of cash flow among business units?
    a. Portfolio strategy
    b. Directional strategy
    c. Parenting strategy
    d. Cooperative strategy
    e. Functional strategy

a. (p.165)

5. Which kind of corporate strategy deals with the manner in which the firm coordinates activities and transfers resources and cultivates capabilities among product lines and business units?

6.
    a. Portfolio strategy
    b. Directional strategy

c. Parenting strategy
d. Cooperative strategy
e. Functional strategy

b. (p.165)

7. Which one of the following directional strategies is most frequently used in corporations?

a. Stability
b. Growth
c. Consolidation
d. Retrenchment
e. Expansion

c. (pp.165-166)

8. Which external growth strategy involves two or more corporations joining in a stock exchange and from which only one corporation survives?
a. Mergers
b. Strategic alliances
c. Diversification
d. Acquisitions
e. Concentration

a. (p.166)

9. Which of the following strategies was being used when Allied Corporation and Signal Companies formed Allied Signal?
a. Mergers
b. Strategic alliances
c. Diversification
d. Acquisitions
e. Concentration

a. (p.166)

10. Which external growth strategy occurs when a corporation is completely absorbed as an operating subsidiary or division of the acquiring firm?
a. Mergers
b. Strategic alliances
c. Diversification
d. Acquisitions
e. Concentration

d. (p.166)
e.
11. Which external growth strategy is a partnership of two or more corporations or business units to achieve mutually beneficial strategic objectives?

a. Mergers
b. Strategic alliances
c. Diversification
d. Acquisitions
e. Concentration

b. (p.166)

12. Which of the following is NOT a reason why the growth strategy is so seductive?
    a. There are more opportunities for advancement and promotion.
    b. A corporation that experiences successful growth is thought of positively by the marketplace and potential investors.
    c. A large and growth-oriented corporation has more clout and influence.
    d. A growing firm can cover up mistakes and inefficiencies because of the increase in cash flow revenue
    e. A large and growing firm attracts more acquisition offers.

    e. (p.166)

13. The collection of unused resources of a company is known as
    a. Organizational trash.
    b. Organizational slack.
    c. Organizational capacity.
    d. Organizational acquisition.
    e. Organizational formula.

c. (p.166)

14. The most logical strategy for a corporation having a strong competitive position possessing a high market share in a highly attractive industry is
    a. Concentration.
    b. Conglomerate integration.
    c. Concentric diversification.
    d. Stability.
    e. Retrenchment.

a. (p.167)

15. Ford Motor Company's use of company resources to build its River Rouge Plant outside of Detroit so that iron ore could enter into one end of the plant and a finished automobile could exit out of the other end is called
    a. Vertical growth.
    b. Tapered integration.
    c. Horizontal integration.
    d. External vertical integration.
    e. Quasi-integration.

a. (p.167)

16. The purpose of vertical growth is to
    a. Take over a function previously supplied by a former employer.
    b. Take over a function previously provided by a supplier or by a distributor.
    c. Acquire a company of similar objective.
    d. Sell a company encumbered with debt.
    e. Expand to countries with strong trade alliances.

b. (p.167)

17. A disadvantage of vertical integration is that it
    a. Creates exit barriers.
    b. Improves coordination of activities.
    c. Increases the cost of improvement of coordination and control.
    d. Creates entry barriers.
    e. Avoids time consuming tasks.

a. (p.167)

18. The purchase of Carroll's Foods for its hog-growing facilities by Smithfield Foods, the world's Largest pork processor, is an example of
    a. Forward integration.
    b. Horizontal integration.
    c. Backward integration.
    d. Transferred integration.
    e. Mass integration.

b. (p.167)

19. The ability for Nike to manufacture its own shoes and then build stores for distribution is an example of
    a. Forward integration.
    b. Horizontal integration.
    c. Backward integration.
    d. Transferred integration.
    e. Mass integration.

a. (p.167)

20. The theory that proposes that vertical integration is more efficient than contracting for goods and services in the marketplace when the transaction costs of buying goods on the open market becomes too great is known as
    a. Population theory.
    b. Institution theory.
    c. Transaction cost economics.
    d. Trickle down economics.
    e. Transaction growth theory.

b. (p.167)

21. In many cases, integration is more profitable than integration.
    a. Forward, backward
    b. Vertical, backward
    c. Backward, vertical
    d. Backward, forward
    e. Mass, forward

c. (p.167)

22. When a firm internally makes 100% of its key supplies and completely controls its distributors, this is known as
    a. Full integration.
    b. Vertical integration.
    c. Mass integration.
    d. Economical integration.
    e. Strategic integration.

a. (p.168)

23. A firm that internally produces less than half of its own requirements and buys the rest from outside suppliers is what type of vertical integration?
    a. Full integration
    b. Long-term contracts
    c. Backwards integration
    d. Taper integration
    e. Quasi integration

d. (pp.168-169)

24. A firm which gets most of its requirements from an outside supplier that is under its partial control is what type of vertical integration?
    a. Full integration
    b. Long-term contracts
    c. Backwards integration
    d. Taper integration
    e. Quasi integration

e. (p.169)

25. According to transaction cost economics, which of the following is NOT a reason for a firm to prefer vertical integration over contracting to purchasing supplies or services in the open market?
    a. A high level of uncertainty surrounds the transaction.
    b. A company's management does not want to rely on outsiders for important raw materials.
    c. The transaction occurs frequently.
    d. Assets involved in the transaction are highly specialized.

e. All of the above are reasons to favor contracting over vertical integration.

b. (pp.167-168)

26. A firm's expansion into other geographic locations and/or increasing the range of products and services offered to current markets is called
    a. Forward vertical growth.
    b. Diversification
    c. Backward vertical growth.
    d. Captive company strategy.
    e. Horizontal growth.

    e. (p.169)

27. All of the following factors reflect transaction costs EXCEPT

    a. Drafting a market agreement.
    b. Selling a market agreement.
    c. Negotiating a market agreement.
    d. Safeguarding a market agreement.
    e. Settling disputes.

c. (pp.167-168)

28. An agreement between two separate firms to provide agreed-upon goods and services to each other for a specified period of time is known as a(n)
    a. Long-term contract.
    b. Short-term contract.
    c. Binding contract.
    d. Integrated contract.
    e. Outsourced contract.

a. (p.169)

29. When resources are purchased from outsiders through long-term contracts instead of being made in-house, this process is referred to as
    a. Insourcing.
    b. Outsourcing.
    c. Resource building.
    d. Resource placement.
    e. Resource allocation.

b. (p.169)

30. As defined by the text, synergy is the concept
    a. That involves adding different products or divisions to the corporation.
    b. That supports the acquisition of one corporation by another.
    c. That two firms can generate more profits together than separately.
    d. That a corporation can enter one or more businesses that are necessary to manufacture its own product.
    e. That two functional areas of a corporation can coordinate their work as a team.

c. (p.170)

31. Which strategy did KLM choose when it joined forces with Northwest Airlines?
    a. A retrenchment strategy using horizontal integration through internal means.
    b. A horizontal integration strategy.
    c. A stability strategy using concentric diversification.
    d. A growth strategy using vertical integration through external means.
    e. A retrenchment strategy using a concentration method.

c. (pp.169-170)

32. Adding a related or complementary product to a corporation's business units is called
    a. Concentration.
    b. Horizontal growth.
    c. Concentric diversification.
    d. Vertical growth.
    e. Conglomerate diversification.

d. (p.170)

33. Growth through diversification out of an industry into an unrelated industry is called
    a. Concentration.
    b. Horizontal growth.
    c. Concentric diversification.
    d. Vertical growth.
    e. Conglomerate diversification.

    e. (p.170)

34. With concentric diversification, the focus is on

    a. Product-market synergy.
    b. Market demand.
    c. Financial considerations.
    d. Diverse product offerings.
    e. Economic indicators.

a. (p.170)

35. Which of the following is NOT descriptive of the characteristics of conglomerate diversification?
    a. Timing is critical to ensure entry into the industry before competitors.
    b. Indicated when managers are primarily concerned with the criterion of return on investment.
    c. Emphasis is on financial synergy rather than on the product-market synergy.
    d. Appropriate for companies wishing to take advantage of their competitive position strengths as they diversify out of an unattractive industry.
    e. May be appropriate corporate strategy when a firm's competitive position is only average and industry attractiveness is low.

e. (pp.170-171)

36. With conglomerate diversification, the focus is on
    a. Product-market synergy.
    b. Financial considerations.
    c. Employee satisfaction.
    d. Similar product offerings.
    e. Market demand.

b. (p.171)

37. An MNC uses which international strategy for entering a foreign market by simply shipping goods produced in the company's home country to other countries for marketing to minimize risk and to experiment with a specific product?
    a. Licensing
    b. Joint ventures
    c. Production sharing
    d. Exporting
    e. Acquisitions

c. (p.171)

38. An MNC uses which international strategy for entering a foreign market by associating itself with a firm in the host country or a government agency in that country to combine resources and expertise needed for the development of a new product or technologies?
    a. Licensing
    b. Joint ventures
    c. Production sharing
    d. Exporting
    e. Acquisitions
    f.

c. (p.173)

39. One benefit of a U.S. company entering a joint venture with an international firm is the joint venture
    a. Reduces the risks of expropriation.
    b. Enhances the policy of the host country's takeover of theFirm.
    c. Promotes skepticism among other countries not involved in the merger.
    d. Encourages competitors to work with the company.
    e. Increases revenues by 20%.

a. (p.173)

40. An MNC uses which international strategy for entering a foreign market by purchasing another company already operating in the area developing synergistic benefits gained from acquiring strong complementary product lines and a good distribution network?
    a. Licensing
    b. Joint ventures
    c. Production sharing
    d. Exporting
    e. Acquisitions

    e. (p.173)

41. In international dealings, green-field development is/are
    a. A way in which an MNC may contract with a foreign government or local firm to trade raw materials for certain resources belonging to the MNC.
    b. A way in which an MNC can take total control of operations by acquiring a firm already established in the host country.
    c. When a corporation chooses to build a facility from scratch allowing it the freedom to design the plant, choose suppliers, and hire its work force.
    d. When an MNC has a large amount of management talent available and chooses to use its personnel to assist a firm in a host country for a specified fee and period of time.
    e. Typically contracts for construction of operating facilities in exchange for a fee.

b. (pp.173-174)

42. An MNC uses which international strategy for entering a foreign market by combining the higher labor skills and technology available in the developed countries with the lower cost labor available in the developing countries?
    a. Licensing
    b. Joint ventures
    c. Production sharing
    d. Exporting
    e. Acquisitions

c. (p.174)

43. In international dealings, turnkey operations are
    a. A way in which an MNC may contract with a foreign government or local firm to trade raw materials for certain resources belonging to the MNC.
    b. A way in which an MNC can take total control of operations by either starting a business from scratch or acquiring a firm already established in the host country.
    c. When a corporation chooses to build a facility from scratch allowing it the freedom to design the plant, choose suppliers, and hire a work force.
    d. When an MNC has a large amount of management talent available and chooses to use its personnel to assist a firm in a host country for a specified fee and period of time.
    e. Typically contracts for construction of operating facilities in exchange for a fee.

e. (p.174)

44. Management contracts are used in international dealings
    a. As a way in which an MNC may contract with a foreign government or local firm to trade raw materials for certain resources belonging to the MNC.
    b. As a way in which an MNC can take total control of operations by either starting a business from scratch or acquiring a firm already established in the host country.
    c. When a corporation chooses to build a facility from scratch allowing it the freedom to design the plant, choose suppliers, and hire a work force.
    d. When an MNC has a large amount of management talent available and chooses to use its personnel to assist a firm in a host country for a specified fee and period of time.
    e. When an MNC typically contracts for construction of operating facilities in exchange for a fee.

d. (p.174)

45. One study of various growth projects revealed that the most successful growth strategy was
    a. Vertical growth.
    b. Horizontal growth.
    c. Concentric diversification.
    d. Conglomerate diversification.
    e. A combination of vertical growth and conglomerate diversification.

a. (p.174)

46. Research comparing concentric with conglomerate diversification concludes that
    a. Conglomerate diversification is always less profitable than concentric diversification.
    b. Concentric diversification is always less profitable than conglomerate diversification.
    c. The relationship between relatedness and performance is curvilinear.
    d. Neither concentric nor conglomerate diversification are ever profitable.
    e. For optimum effectiveness both conglomerate and concentric diversification should be utilized in tandem.

b. (p.174)

47. The controversy surrounding external versus internal growth finds
    a. External growth appears to be superior financially to internal growth.
    b. Internal growth appears to be superior financially to external growth.
    c. There appears to be no financial advantage to either.
    d. Acquisitions have a lower survival rate than new internally generated business ventures.
    e. Strategic alliances are superior to both.

c. (pp.174-175)

48. The stability strategy is appropriate for all BUT which one of the following circumstances?
    a. Useful in the short-run but can be dangerous if followed too long.
    b. Most appropriate for reasonably successful corporations in a reasonably predictable environment.
    c. Appropriate when the industry is facing modest or no-growth potential.

d. Appropriate when the industry is in decline.
e. Popular with small business owners who have found a niche and are happy with their success.

d. (p.175)

49. Which strategy is most appropriate as a temporary strategy to enable a corporation to consolidate its resources after prolonged rapid growth in an industry now facing an uncertain future?
a. Horizontal integration strategy
b. No change strategy
c. Retrenchment strategy
d. Pause/proceed with caution strategy
e. Profit strategy

e. (pp.175-176)

50. Which strategy is most appropriate for a company in an industry in which the future is expected to continue as an extension of the present?
a. Horizontal integration strategy
b. No change strategy
c. Retrenchment strategy
d. Pause/proceed with caution strategy
e. Profit strategy

b. (p.176)

51. Which strategy is descriptive of a corporation in a mature industry facing a drop in its attractiveness, opting to decrease short-term discretionary expenses to maintain profits at a certain level?
a. Horizontal integration strategy
b. No change strategy
c. Retrenchment strategy
d. Pause/proceed with caution strategy
e. Profit strategy

e.(p.176)

52. Which strategy is most appropriate for a corporation having a weak competitive position regardless of the industry's attractiveness, resulting in poor performance, decreased sales and lost profits?

a. Proceed with caution strategy
b. No change strategy
c. Retrenchment strategy
d. Pause strategy
e. Profit strategy

c. (p.176)

53. What is a turnaround strategy?

a. A form of divestment and is appropriate when corporate problems can be traced to the poor performance of an SBU or product line.
b. Occurs when the corporation reduces the scope of some of its functional activities and becomes "captive" to another firm.
c. Emphasizes improving operational efficiency and is appropriate when a corporation's problems are pervasive, but not yet critical.
d. Occurs when a corporation liquidates all its assets.
e. Involves adding different products or divisions to the corporation.

d. (p.176-177)

54. The strategy which takes place in two basic phases of contraction and consolidation is
a. Merger.
b. Liquidation
c. Integration.
d. Divestment.
e. Turnaround.

e.(p.177)

55. The first phase of a turnaround strategy is
a. Consolidation
b. Liquidation
c. Contraction
d. Divestment
e. None of the above

d. (p.177)

56. Which one of the following is NOT a characteristic of a firm that has chosen a captive company strategy?

a. Probably most appropriate for a company with a strong competitive position in a growing industry.
b. The firm reduces its functional activities to reduce costs.
c. The firm gains a certainty of sales and production in return for becoming heavily dependent upon another firm for at least 75% of its sales.
d. One of its customers makes up a large percentage of the company's sales and wants the company to keep operating as its supplier
e. Management desperately seeks an "angel" to guarantee the company's continued existence.

a. (pp.177-178)

57. The hope of which strategy is that another company will have the necessary resources and determination to return the company to profitability?
a. Sell out
b. Captive company

c. Liquidation
d. Bankruptcy
e. All of the above

a. (p.178)

58. Which strategy involves giving up management of the firm to the courts in return for some settlement of the corporation's obligations?
a. Liquidation
b. Bankruptcy
c. Diversification
d. Divestment
e. Consolidation

b. (p.178)

59. Which strategy is the termination of the firm because it is in an unattractive industry and the company is too weak to be sold as a growing concern?
a. Liquidation
b. Bankruptcy
c. Diversification
d. Divestment
e. Consolidation

a. (p.178)

60. One of the most popular aids to developing corporate strategy in multi-business corporations views business units in terms of the cash they generate is called
a. PIMS.
b. Segmentation analysis
c. Portfolio analysis.
d. Industry analysis.
e. Diversification study.

b. (p.179)

61. In the Boston Consulting Group's growth-share matrix, the relative competitive position of a product, division, or corporation is defined as
a. Its market share.
b. Its gross sales divided by its market share.
c. Its market share multiplied by that of its nearest competitor.
d. Its market share divided by that of the smallest other competitor.
e. Its market share divided by that of the largest other competitor.

E (p.179)

62. A relative market share ratio above 1.0, calculated by the Boston Consulting Group's growth-share matrix method, belongs to the

a. Market leader.
b. Largest competitor.
c. Market challenger.
d. Market laggard.
e. Smallest competitor.

a. (pp.179-180)

63. The line separating areas of high and low relative competitive position as gained from the BCG growth-share matrix method, is set at
    a. .5.
    b. 1.0.
    c. 1.5.
    d. 2.0.
    e. 2.5.

b. (p.180)

64. The growth-share matrix of the Boston Consulting Group suggests that the excess cash being generated by "cash cows" should be used to fund
    a. "dogs."
    b. "question marks."
    c. "stars."
    d. "white knights."
    e. "buckets."

c. (p.180)

65. According to the BCG Growth Share Matrix, new products which need a lot of cash for development and with the potential for success are called
    a. Cash cows.
    b. Lost leaders.
    c. Dogs.
    d. Question marks
    e. Stars.

d. (p.180)

66. Market leaders typically at the peak of their product life cycle and usually able to generate enough cash to maintain their high share of the market are called
    a. Cash cows.
    b. Lost leaders
    c. Dogs.
    d. Question marks.
    e. Stars.

    e.(p.180)

67. Products that typically bring in far more money than is needed for maintenance of their market share are called
    a. Cash cows.
    b. Lost leaders.
    c. Dogs.
    d. Question marks.
    e. Stars.

a. (p.180)
b.

68. Those products with low market share that do NOT have the potential to bring in much cash are called
    a. Cash cows.
    b. Lost leaders.
    c. Dogs.
    d. Question marks.
    e. Stars.

c. (p.180)
d.

69. According to the BCG growth-share matrix, the key to success is
    a. Effective management.
    b. Competitive positioning.
    c. Innovative initiative.
    d. Industry leadership.
    e. Market share.

e.(p.181)

70. The BCG growth-share matrix has been criticized because
    a. It emphasizes marketing expenditures over profits.
    b. It uses too many categories.
    c. It fails to operationalize industry attractiveness and business strength/competitive position.
    d. High growth markets may not always be the best markets.
    e. Product quality is only one aspect of overall competitive position.

e. (p.181)

71. Which of the following is NOT one of the limitations of the BCG Growth Share Matrix?
    a. It is too simplistic.
    b. The link between market share and profitability is questionable.
    c. Growth rate is only one aspect of industry attractiveness.
    d. There are too many aspects of overall competitive position included.
    e. Small competitors with fast-growing market share are ignored.

f. (p.181)

72. Which of the following is NOT defined by GE as one of the variables forming industry attractiveness?

a. Market share
b. Market size
c. Market growth rate
d. Pricing practices
e. Industry profitability

a. (p.181)

73. Which of the following is defined by GE as one of the variables forming business strength/competitive position?
    a. Industry profitability
    b. Competitive diversity
    c. Market growth rate
    d. Market size
    e. Market share

    e. (p.181)

74. Which one of the following is NOT one of the four steps recommended for plotting of products or SBUs on the GE Business Screen?

    a. Use the growth rate as the criteria measurement for success.
    b. Assess industry attractiveness.
    c. Plot the firm's future portfolio.
    d. Assess business strength/competitive position
    e. Plot each SBU's current position.

a. (pp.181-182)
b.
75. The range of scores for the business strength axis of the GE Business Screen is from
    a. 0.0 (weak) to 10.0 (strong).
    b. 1.00 (strong) to 5.0 (weak).
    c. 0.0 (strong) to 10.0 (weak).
    d. 1.0 (weak) to 7.0 (strong).
    e. 1.00 (weak) to 5.0 (strong).

    e. (p.181)

76. The GE Business Screen has been criticized because
    a. It is based on the product life cycle.
    b. The categories are too few.
    c. It can get quite complicated and cumbersome.
    d. It is a primitive version of the Directional Policy Matrix.
    e. It is only appropriate for new products or SBUs in developing industries.

c. (p.182)

77. Which of the following is NOT one of the advantages of portfolio analysis?
    a. The graphic depiction facilitates communication.
    b. It provides the basis for impartial objectivity from which to make decisions.
    c. It encourages top management to evaluate each of the corporation's businesses individually.
    d. It raises the issue of cash flow availability for use in expansion and growth.
    e. It stimulates the use of externally oriented data to supplement management's judgment.

d. (pp.182-183)

78. Which of the following is NOT one of the limitations of portfolio analysis?
    a. It contains value-laden terminology
    b. It is not easy to define product/market segments.
    c. It relies too heavily on objective judgments.
    d. It suggests the use of standard strategies which may be impractical or may miss potential opportunities.
    e. It provides an illusion of scientific rigor.

e. (p.183)

79. Corporate parenting generates corporate strategy by focusing on
    a. The core competencies of the parent corporation and on the value created from the relationship between the parent and its units.
    b. The cash flow among its business units.
    c. Whether a business unit should be growing, stabilizing, or retrenching.
    d. Acquiring distinctive competencies in the marketplace.
    e. Differentiating its activities into separate units and integrating these activities through complex integrating mechanisms.

a. (p.183)

80. According to the text, 75% of a company's value is derived from
    a. The employees.
    b. Organizational knowledge.
    c. Plant assets.
    d. Joint ventures.
    e. Licensing agreements.

b. (p.184)

81. According to Campbell, Goold, and Alexander in their parenting-fit matrix when parent companies create more value than any of their rivals would if they owned the same businesses, they have
    a. Multi-point competition.
    b. Parenting advantage.
    c. Corporate parenting.
    d. Portfolio analysis.
    e. None of the above.

c. (pp.183-184)
d.
82. A corporate strategy that cuts across divisional boundaries to build synergy across business units to improve the competitive position of one or more business units is called
    a. Vertical strategy.
    b. Horizontal strategy.
    c. Hierarchical strategy.

d. Portfolio strategy.
e. Pyramid strategy.

b. (p.185)

83. Business firms that compete with each other not only in one business unit, but in a number of related business units are said to be engaging in
a. Oligopolistic competition.
b. Strategic competition.
c. Multipoint competition.
d. Laissez-faire competition.
e. Horizontal competition.

c. (p.185)

84. Which of the following is NOT true regarding multi-point competition?
a. Procter & Gamble, Kimberly-Clark, Scott Paper and Johnson & Johnson engage in multi-point competition.
b. Multi-point competition may actually slow the development of hyper competition in an industry.
c. Managers behave more conservatively toward multi-market rivals, when they realize that an attack on a market leader's position could result in a response in another market
d. In one industry, multi-point competition resulted in firms being less likely to exit a market.
e. None of the above.

e. (p.185)

## CHAPTER EIGHT
## STRATEGY FORMULATION: FUNCTIONAL STRATEGY AND STRATEGIC CHOICE

Multiple Choice

1. Which strategy is developed to pull together the various activities and competencies of each department so that corporate and business unit performance improves and resource productivity is maximized?

a. business strategy
b. competitive strategy
c. generic strategy
d. enterprise strategy

e. functional strategy

e. (p.189)

2. Functional strategy and strategic choice is a part of_____in the strategy management model.

a. strategy formulation
b. environmental scanning
c. strategy implementation
d. evaluation and control
e. strategy manipulation

a. (p.189)

3. The pricing, selling, and distributing of a product is referred to as a(n)_____strategy.

a. marketing
b. functional
c. operations
d. financial
e. human resource management

a. (p.190)

4. Which of the following is NOT a typical marketing functional strategy?

a. Develop new products for new markets.
b. Capture a larger share of an existing market for current products through market penetration.
c. Develop new markets for current products.
d. Provide the corporation with the appropriate financial structure and funds to achieve its overall objectives.
e. Develop new products for existing markets.

d. (p.190)

5. Which of the following is an example of a marketing functional strategy?

a. To increase profits by 10%.
b. To maximize shareholders wealth.
c. To achieve overall cost leadership.
d. To diversify into related markets.
e. To manipulate advertising expenditures to emphasize market "pull" over "push."

e. (p.190)

6. The type of marketing strategy in which a company captures a larger share of an existing market for current products through market saturation or market penetration or develops new markets for current products is called

a. market development.
b. push strategy.
c. product development.
d. pull strategy.
e. skimming the cream.

a. (p.190)

7. The type of marketing strategy in which a company develops new products for new or existing markets is called

a. market development.
b. push strategy.
c. product development.
d. pull strategy.
e. skimming the cream.

c. (p.190)

8. Using a successful brand name to market other products is referred to as

a. demand pricing.
b. brand pricing.
c. line extension.
d. penetration extension.
e. demand extension.

c. (p.190)

9. A company may use which of the following trade promotions to "push" their products through the distribution system?

a. discounts
b. in-store special offers
c. advertising allowances
d. all of the above
e. none of the above

d. (p.190)

10. When a company spends a large amount of money on trade promotion in order to gain or hold shelf space in retail outlets, a company is using a_____strategy.

a. pull
b. push
c. lengthening
d. knot
e. hold

b. (p.190)

11. When a company uses advertising which pulls the products through the distribution channels, the company is using a_____strategy.

a. pull
b. push
c. lengthening
d. knot
e. hold

a. (p.190)

12. According to the text, a company that has used advertising and promotion to implement a market saturation/penetration strategy is

a. Nike.
b. Pepsi.
c. Proctor and Gamble.
d. Axion.
e. Motorola.

c. (p.191)

13. Which type of pricing takes advantage of the demand curve while the product is still novel and competitors are few?

a. demand pricing
b. competitive pricing
c. skim pricing
d. penetration pricing
e. loss-leader pricing

c. (p.191)

14. Which type of pricing attempts to hasten market development and offers the pioneer the opportunity to utilize the experience curve to gain market share and dominate the industry?

a. demand pricing
b. competitive pricing
c. skim pricing
d. penetration pricing
e. loss-leader pricing

d. (p.191)

15. The examination of financial implications of corporate and business-level strategic options and the identification of the best financial course of action is known as a_____strategy.

a. marketing
b. functional
c. operations
d. financial
e. human resource management

d. (p.191)

16. Which of the following is NOT a goal of financial strategies?

a. Examine the financial implication of corporate and business level strategic options and identify the best financial course of action.
b. Provide the corporation with the appropriate financial structure and funds to achieve its overall objectives.
c. Institute a new product development plan to generate profit potential.
d. Provide competitive advantage through a lower cost of funds and a flexible ability to raise capital to support a business strategy.
e. Attempt to maximize the financial value of the firm.

c. (p.191)

17. All of the following are benefits for a company to raising its debt levels EXCEPT

a. deterrent to takeover by other firms.
b. improvement in productivity.
c. improvement in cash flows.
d. focus by management on core businesses.
e. increase in shareholder value.

e. (p.191)

18. A popular financial strategy in which a company is acquired in a transaction financed largely by debt – eventually paid off with money generated from the acquired company's operations or by sale of its assets is

a. illegal in most countries.
b. a good way to build a core competency.
c. an application of the capital asset pricing model.
d. the leveraged buyout.
e. an example of internal financing.

d. (p.191)

19. Leveraged buyouts are also referred to as

a. leveraged bargains.
b. management buyouts.
c. management bargains.
d. coordinated buyouts.
e. debt buyouts.

b. (p.191)

20. A common stock tied to one portion of a corporation's business is known as

a. tracking stock.
b. holding stock.
c. shareholder stock.
d. tracked stock.
e. split stock.

a. (p.192)

21. The strategy that deals with product and process innovation and improvement is known as a _____strategy.

a. marketing
b. R&D
c. operations
d. financial
e. human resource management

b. (p.192)

22. A company which pioneers an innovation is called a(n)

a. technological follower.
b. technological opportunist.
c. technological leader.
d. technological manufacturer.
e. technological entrepreneur.

c. (p.192)

23. A company which imitates the products of competitors is referred to as a(n)

a. technological follower.
b. technological opportunist.
c. technological leader.
d. technological manufacturer.
e. technological entrepreneur.

a. (p.192)

24. According to the text, which athletic shoe manufacturer spends most on research and development within its industry?

a. Nike
b. ASICS
c. Adidas
d. Reebok
e. Converse

a. (p.192)

25. According to Porter, to achieve a cost advantage by following the functional strategy of technological followership, a business unit should

a. pioneer the lowest-cost product design.
b. innovate in other activities to increase buyer value.
c. avoid R&D costs through imitation.
d. create low-cost ways of performing value activities.
e. be the first firm down the learning curve.

c. (p.193)

26. According to Porter, to achieve a differentiation competitive strategy by following the functional strategy of technological leadership a business unit should

a. pioneer the lowest-cost product design.
b. innovate in other activities to increase buyer value.
c. avoid R&D costs through imitation.
d. create low-cost ways of performing value activities.
e. be the first firm down the learning curve.

b. (p.193)

27. If a company wishes to be a technological leader and also maintain a cost advantage, the appropriate R&D strategy would be

a. increase the cost of the product.
b. lower the cost of the product or value activities by learning from the leader's experience.
c. avoid R&D costs through imitation.
d. create low-cost ways of performing value activities.
e. innovate in other activities to increase buyer value.

d. (p.193)

28. If a company wishes to be a technological follower and also maintain a cost advantage, the appropriate R&D strategy would be

a. the first firm down the learning curve.
b. lower the cost of the product or value activities by learning from the leader's experience.
c. pioneer the lowest cost product design.
d. create low-cost ways of performing value activities.
e. innovate in other activities to increase buyer value.

b. (p.193)

29. If a company wishes to be a technological leader and also pursue a differentiation strategy, the appropriate R&D strategy would be

a. increase the cost of the product.
b. lower the cost of the product or value activities by learning from the leader's experience.
c. avoid R&D costs through imitation.
d. create low-cost ways of performing value activities.
e. innovate in other activities to increase buyer value.

e. (p.193)

30. If a company wishes to be a technological follower and also pursue a differentiation strategy, the appropriate R&D strategy would be to

a. adapt the product or delivery system more closely to buyer needs by learning from the leader's experience.
b. value activities by learning from the leader's experience.
c. avoid R&D costs through imitation.
d. create low-cost ways of performing value activities.
e. innovate in other activities to increase buyer value.

a. (p.193)

31. When a company determines how and where a product or service is to be manufactured, the level of vertical integration in the production process, the deployment of physical resources, and relationships with suppliers, the company is developing its_____strategy.

a. marketing
b. R&D
c. operations
d. financial
e. human resource management

c. (p.193)

32. Which one of the following is NOT an element of concern for a corporation's operations strategy?

a. How product development will affect overall cost leadership.
b. How and where a product or service is to be manufactured.
c. The relationship between the organization and its supplier.
d. The level of vertical integration that is incorporated into the process.
e. The deployment of physical resources within an organization.

a. (p.193)

33. A flexible manufacturing system is defined by the text as

a. one-of-a-kind production using skilled labor.
b. highly automated assembly lines making one mass-produced product using little human labor.
c. parts grouped into manufacturing families to produce a wide variety of mass-produced items.
d. a process utilizing the just-in-time (JIT) method of manufacturing.
e. standardization of components with each machine functioning like a job shop, but is positioned in the same order as the parts are processed.

c. (p.194)

34. When components are standardized and each machine functions like a job shop but is positioned in the same order as the parts are processed, this setup is known as

a. mass customization.
b. connected line batch flow.
c. connected job flow.
d. mass batch flow.
e. mass job flow.

b. (p.194)

35. When there are highly automated assembly lines making one mass-produced product using little human labor, this setup is called

a. dedicated transfer lines.
b. connected line batch flow.
c. connected job flow.
d. mass batch lines.
e. mass job flow.

a. (p.194)

36. As it relates to operations, AMT stands for

a. Automated Manufacturing Technology.
b. Advanced Manufacturing Technology.
c. Asymptotic Manufacturing Technology.
d. Advanced Monotone Technology.
e. Automated Manufacturing Technician.

b. (pp.193-194)

37. Continuous improvement is an operations concept developed in

a. the United States.
b. Sweden.
c. Japan.
d. Germany.
e. Canada.

c. (p.195)

38. The manufacturing strategy which requires that people, processes, units, and technology reconfigure themselves to give customers exactly what they want, when they want it is called

a. continuous improvement.
b. mass production.
c. job shop.
d. mass customization.
e. just-in-time.

d. (p.195)

39. When a company deals with obtaining raw materials, parts, and supplies needed to perform the operations function, the company is developing its_____strategy.

a. operations
b. purchasing
c. R&D
d. financial
e. human resource management

b. (p.195)

40. The purchasing strategy in which the purchasing company orders a particular part from several vendors is

a. sole sourcing.
b. multiple sourcing.
c. just-in-time sourcing.
d. backup sourcing.
e. parallel sourcing.

b. (p.195)

41. The concept of_____was taken one step further in JITII, in which vendor sales representatives usually have desks next to the purchasing company's factory floor, attend production status meetings, visit the R&D lab, and analyze the purchasing company's sales forecasts.

a. multiple sourcing
b. outsourcing
c. sole sourcing
d. parallel sourcing
e. all of the above

c. (pp.195-196)

42. The purchasing strategy in which two suppliers are the sole suppliers of different parts, but are also the backup suppliers for each other's parts is

a. sole sourcing.
b. multiple sourcing.
c. just-in-time sourcing.
d. backup sourcing.
e. parallel sourcing.

e. (p.196)

43. Three trends are evident in logistics: outsourcing, the use of the Internet, and

a. centralization.
b. downsizing.
c. logistical partnerships.
d. computerization.
e. containerized shipping.

a. (p.196)

44. The flow of products into and out of manufacturing is a factor when developing a_____strategy.

a. marketing
b. logistics
c. operations
d. financial
e. human resource management

b. (p.196)

45. Many companies have found that outsourcing logistics

a. helps centralize logistics
b. reduces costs and improves delivery time
c. is an effective business-level strategy
d. helps the company differentiate themselves
e. all of the above

b. (p.196)

46. Which of the following is an issue of concern for strategy focused on human resources?

a. Desired level of debt versus equity.
b. Address the issue of hiring low-skilled workers at low pay or highly-skilled workers at relatively higher pay.
c. Whether to use the Internet to simplify their logistics system.
d. Whether or not to outsource a function.
e. All of the above

b. (p.197)

47. A recent trend in information systems strategy is

a. computerizing accounting.
b. automating customer service.
c. practicing follow-the-sun management.
d. replacing Fortran with Cobol in order to boost productivity.
e. replacing mainframe computers with robots.

c. (p.198)

48. Purchasing a product or service from an outside contractor is called

a. vertical integration.
b. horizontal integration.
c. transaction costing.
d. outsourcing.
e. the hokey pokey.

d. (p.198)

49. A study of 30 firms revealed that outsourcing can lead to a_____percent reduction in costs.

a. 5
b. 9
c. 15
d. 20
e. 30

**b. (p.198)**

50. A study of 30 firms revealed that outsourcing can lead to a_____percent increase in capacity and quality.

a. 5
b. 9
c. 15
d. 20
e. 30

**c. (p.198)**

51. According to an American Management Association survey, the most heavily outsourced activities were

a. manufacturing and marketing.
b. customer service and sales.
c. finance and manufacturing.
d. R&D and customer service.
e. general and administrative.

e. (p.199)

52. Which of the following is NOT one of the major outsourcing errors that should be avoided?

a. failure to keep core activities in house.
b. Selecting the wrong vendor
c. Writing a poor contract
d. Micromanaging the outsourced activity to maintain control
e. Overlooking personnel issues.

d. (p.199)

53. Which of the following is one of the major outsourcing errors identified in the text?

a. Keep core competencies in-house.
b. Overlooking personnel issues.
c. Failing to plan an exit strategy.
d. Savings exceeded transaction costs.
e. None of the above.

b. (p.199)

54. The key to outsourcing is to purchase from the outside only those activities that

a. are not key to the company's distinctive competence.
b. are very expensive.
c. provide the company competitive advantage.
d. are provided by an important supplier.
e. are not very expensive.

a. (p.200)

55. A company which has previously found great success pioneering an extremely successful product presently trying to turn another "long-shot" into a like success would be an example of which strategy to avoid?

a. follow the leader
b. hit another home run
c. arms race
d. do everything
e. losing hand

b. (p.201)

56. A company which has invested so heavily in a particular strategy that it will not consider a change in this strategy even if it is not successful, would be an example of which strategy to avoid?

a. follow the leader
b. hit another home run
c. arms race
d. do everything
e. losing hand

e. (p.201)

57. A company which keeps up by imitating a leading company's strategy while ignoring its own strengths and weaknesses is an example of which strategy to avoid?

a. follow the leader
b. hit another home run
c. arms race
d. do everything
e. losing hand

a. (p.201)

58. A company which enters into a spirited battle for market share by cutting prices and offering special deals would be an example of which strategy to avoid?

a. follow the leader
b. hit another home run
c. arms race
d. do everything
e. losing hand

c. (p.201)

59. A company which invests in many interesting opportunities without deciding which of them should have priority would be an example of which strategy to avoid?

a. follow the leader
b. hit another home run
c. arms race
d. do everything
e. losing hand

d. (p.201)

60. When considering acceptable alternative strategies, the most important criterion is the ability of the proposed strategy to deal with

a. the prospects of ensuring profitable return on investment.
b. the specific strategic factors developed in the S.W.O.T. analysis.
c. defining the competitive environment in which the firm is competing.
d. the future long-term prospects of the industry.
e. governmental regulations and requirements placed on the industry.

b. (pp.201-202)

61. The technique used to help strategic managers choose among alternative choices by defining the task environment, developing a set of various forecasts, and using pro forma financial statements is called

a. decision trees.
b. S.W.O.T. analysis.
c. industry scenarios.
d. corporate scenarios.
e. Capital Asset Pricing Model.

d. (p.202)

62. The first step in constructing a corporate scenario is to

a. develop a common-sized financial statement.
b. construct detailed pro forma financial statements.
c. decide upon how much risk management is willing to accept.
d. analyze the societal environment.
e. use industry scenarios to develop a set of assumptions about the task environment.

e. (p.202)

63. Which one of the following is NOT one of the factors used to evaluate the attractiveness of a particular strategic alternative towards risk?

a. The length of time the asset will be unavailable for other uses.
b. The probability that the strategy will be effective.
c. The probability that the strategy will result in substantial growth.
d. The amount of assets the corporation must allocate to that strategy.
e. The ability to quantify the amount of risk using a method of financial analysis.

c. (p.204)

64. According to the text, which one of the following is NOT one of the reasons why innovations seem to occur more often in small firms rather than in large, established corporations?

a. An entrepreneur in a small firm is more willing to accept greater risk than would a larger firm.
b. Small firms are completely ignorant of risk management.
c. The greater the assets involved and the longer they are tied up, the more likely top management in large firms is to demand a high probability of success.
d. Companies operating in global industries must deal with a greater amount of risk than firms operating only in one country.
e. If the corporation's stock is widely held as in the case of large firms and experiences stock price declines due to some external assessment, it places the firm in jeopardy of being acquired.

b. (p.205)

65. A new approach to evaluating alternatives under conditions of high environmental uncertainty that proposes it pays to have a broad range of options open is the

a. net present value
b. real options approach
c. stakeholder priority matrix
d. risk assessment approach
e. hurdle rate approach

b. (p.205)

66. The most commonly used political strategies include which of the following?

a. constituency building
b. political action committee contributions
c. advocacy advertising
d. lobbying
e. all of the above

e. (pp.205-206)

67. Which one of the following is NOT one of the questions that management should raise in their attempt to assess the importance to the corporation of stakeholders' concerns?

a. Which stakeholder group should be represented on the board of directors?
b. How will this decision affect each stakeholder?

c. How much of what the stakeholders want are they likely to get under a certain alternative?
d. What are the stakeholders likely to do if they don't get what they want?
e. What is the probability that the stakeholders will follow through on their demand?

a. (p.205)

68. The type of strategy used to influence a corporation's key stakeholders in order to increase their support of corporate activities is

a. cooperative strategy.
b. political strategy.
c. competitive strategy.
d. marketing strategy.
e. profit strategy.

b. (p.205)

69. If there is little fit between a strategic alternative under study and the corporate culture, which one of the following is NOT one of the considerations that must be taken into account?

a. Take a chance on ignoring the culture by implementing the strategic alternative.
b. Manage around the culture.
c. Try to change the culture to fit the strategy.
d. Change the strategy to fit the culture.
e. Ignore the corporate culture.

e. (p.206)

70. Even the most attractive strategic alternative may not be implemented because

a. it may not meet the exacting financial ratios that management has declared necessary.
b. the firm may fear head-to-head competition with the major players in the industry.
c. it may be contrary to the needs and desires of important top managers.
d. the organization may fear the unknown.
e. of the fear of grand failure.

c. (p.206)

71. Which of the following managerial characteristics impacts the selection of strategy?

a. industry backgrounds
b. cultural backgrounds
c. personal characteristics
d. ego
e. all of the above

e. (p.207)

72. Korean executives emphasize_____in their decisions; whereas U.S. executives emphasize _____.

a. projected demand, discounted cash flow, and ROI; industry attractiveness, sales and market share.
b. Industry attractiveness, sales and market share; projected demand, discounted cash flow, and ROI.
c. Ego; industry attractiveness

d. Maintaining the status quo; change
e. None of the above

b. (p.207)

73. The evaluation of alternative strategies and selection of the best alternative is referred to as

a. alternative generation
b. strategic implementation
c. strategic choice
d. strategic selection
e. evaluation

c. (p.207)

74. The best strategic decisions are not arrived at through

a. programmed conflict
b. consensus
c. personal feelings
d. heated disagreement
e. unmanaged conflict

b. (p.207)

75. According to the text, unanimous agreement is not the best way to determine the merits of a proposed alternative strategy. To avoid this consensus trap, which technique assigns a group or individual to identify potential pitfalls and problems with a proposed alternative strategy in a formal presentation?

a. devil's advocate
b. Sloan's judgment
c. sales presentation
d. dialectical inquiry
e. scenario construction

a. (p.207-208)

76. According to the text, unanimous agreement is NOT the best way to determine the merits of a proposed alternative strategy. To avoid this consensus trap, which technique involves presenting two conflicting views (the thesis and the antithesis) presented in a debate format?

a. devil's advocate
b. Sloan's judgment
c. sales presentation
d. dialectical inquiry
e. scenario construction

d. (p.208)

77. Each strategic alternative generated should be evaluated in terms of its ability to meet which of the following criteria?

a. mutual exclusivity
b. success
c. completeness

d. internal consistency
e. all of the above

e. (p.208)

78. Which one of the following is NOT one of the reasons why once a strategy has been selected, a change in policy quickly should follow?

a. Corporate policies define the ground rules for implementation.
b. Corporate policies assure the division's compliance with corporate strategy.
c. Corporate policies serve to align corporate activities in the new strategic direction.
d. Corporate policies need to be registered with the SEC.
e. Corporate policies can restrict top management's strategic options in the future.

d. (p.208)

79. One way to manage corporate culture is to

a. formulate strategies that contradict the culture.
b. formulate only those strategies that are in complete agreement with the culture.
c. involve only top management in the formulation of strategy.
d. use consultants to impress employees with how poorly the company has been run in the past.
e. follow changes in strategy with changes in policies.

e. (pp.208-209)

80. When crafted correctly, an effective policy accomplished all but which of the following?

a. It forces trade-offs between competing resource demands.
b. It tests the strategic soundness of a particular action.
c. It leaves room for great flexibility in decision-making.
d. It sets boundaries within which employee must operate while granting them freedom to experiment within those constraints.
e. None of the above.

c. (p.209)

CHAPTER NINE
STRATEGY IMPLEMENTATION: ORGANIZING FOR ACTION

Multiple Choice

1. The sum total of the activities and choices required for the execution of a strategic plan is known as

a. strategic formulation.
b. environmental scanning.
c. strategy implementation.
d. evaluation and control.
e. strategic development.

c. (p.214)

2. Which statement below is NOT true of strategy implementation?

a. It is the process by which strategies and policies are put into action through the development of programs, budgets, and procedures.
b. Implementation is often considered after strategy has been formulated.
c. Strategy implementation is the sum total of the activities and choices required for the execution of a strategic plan.
d. Strategy implementation should be kept separate and distinct from that of strategic management.
e. Strategy formulation and strategy implementation are two sides of the same coin.

d. (pp.214-215)

3. Studies show that_____of all acquisitions fail to achieve what was expected of them.

a. 10%
b. 20%
c. 30%
d. 50%
e. 75%

**d. (p.215)**

4. A survey of 93 Fortune 500 firms found ten major problems that over half of the group experienced when they attempted to implement a strategic change. Which of the following is NOT one of the implementation problems?

a. Ineffective monitoring of activities.
b. Uncontrollable external environmental factors.
c. Time allocated for implementation was adequate, but was used inappropriately.
d. Poor definition of key implementation tasks and activities.
e. Crises that distracted attention away from implementation.

c. (p.215)

5. Who typically implements strategy in large, multi-industry corporations?

a. the board of directors
b. top management
c. middle management
d. first level management

e. everyone in the organization

e. (p.215)

6. It is advisable to have management from all levels participate in the strategy formulation process

a. because it is a legal requirement.
b. because collective bargaining agreements often mandate worker participation.
c. to gain an insight as to what work needs to be done and to gain cooperation in the implementation of the strategy.
d. because it is part of their job responsibilities to provide input regarding their respective area of expertise.
e. because it helps boost the self-image and ego of all managers to be asked for advice.

c. (p.216)

7. The term used in strategic implementation that describes a statement of activities or steps needed to accomplish a single-use plan and whose use is to make the strategy action-oriented is

a. program.
b. guidelines.
c. budgets.
d. course of action.
e. procedures.

a. (p.216)

8. The matrix of change is developed by

a. Brynjolfsson, Renshaw, & Van Alstyne.
b. Porter, Renshaw, & Van Alstyne.
c. Renshaw, Drucker, & Van Alstyne.
d. Brynjolfsson, Drucker, & Van Alstyne.
e. Porter, Drucker, & Van Alstyne.

a. (p.216)

9. All of the following are questions addressed by the matrix of change EXCEPT

a. feasibility
b. location
c. pace and nature of change
d. cost
e. stakeholder evaluation

d. (p.217-218)

10. Where a change could begin refers to the_____aspect of the matrix of change.

a. feasibility
b. sequence of execution
c. location
d. pace and nature of change
e. stakeholder evaluations

b. (p.217)

11. The term used in strategic implementation that describes a system of sequential steps or techniques that describe in detail how a particular task or job is to be done is

a. program.
b. guidelines.
c. budgets.
d. course of action.
e. procedures.

e. (p.218)

12. When the return on investment for each division of a corporation is greater than what the return would be if each division were an independent business, that corporation is said to have achieved

a. synergy.
b. a leveraged buyout.
c. its hurdle rate.
d. the status of a true conglomerate.
e. Stage III.

a. (p.218)

13. According to Goold and Campbell, when combined units benefit from sharing knowledge or skills, the synergistic effect is known as

a. shared tangible resources.
b. shared know-how.
c. coordinated strategies.
d. economies of scale.
e. new business creation.

b. (p.218)

14. According to Goold and Campbell, when the exchange of knowledge and skills can facilitate new products or services by extracting discrete activities from various units and combining them in a new unit or by establishing joint ventures among internal business units, the synergistic effect is known as

a. shared tangible resources.
b. pooled negotiating power.
c. new business creation.
d. economies of scope.
e. coordinated strategies.

c. (p.219)

15. According to Goold and Campbell, when companies coordinate the flow of products or services of one unit with that of another unit which can reduce inventory, the synergistic effect is known as

a. new business creation.
b. economics of scope.
c. coordinated strategies.
d. economies of scale or scope.
e. pooled negotiating power.

d. (p.219)

16. According to Goold and Campbell, which of the following is one of the forms that synergy can take?

a. shared know how
b. coordinated strategies
c. shared tangible resources
d. pooled negotiating power
e. all of the above

e. (pp.218-219)

17. The theory that structure follows strategy was developed by

a. Alfred Chandler.
b. Alfred Porter.
c. Michael Chandler.
d. Peter Chandler.
e. Alfred Drucker.

a. (p.219)

18. Alfred Chandler, known for his study of large American corporations, concluded that

a. organic structure is best for firms in a changing environment.
b. mechanistic structure is best for firms in a changing environment.
c. structure follows strategy.
d. strategy follows structure.
e. strategic business units are the key to effective decentralization.

c. (p.219)

19. According to Chandler and others, which factors MUST be closely aligned or else face the consequences of poor organizational performance?

a. management, workforce, and customers
b. operations, marketing, and finance
c. strategy, structure, and environment
d. rules, goals, and tasks
e. hierarchy, contacts, and integrators

c. (p.220)

20. In Chandler's discussion of how strategy and structure are related, the last step in a sequence of events is that

a. new strategy is created.
b. profit returns to its previous level.
c. new administrative problems emerge.
d. economic performance declines.

e. new appropriate structure is invented.

b. (p.220)

21. Under Stage I and the function of measurement and control, organizational measurement is based on

a. control beyond one person.
b. assessment of functional operations necessary.
c. personal, subjective control.
d. evolution of structured control systems.
e. complex formal systems geared to comparative assessment of performance measures.

c. (p.221)

22. Key performance indicators under the Stage II are indicated by

a. operating efficiency.
b. ability to solve operating problems.
c. relationships with owner.
d. size of empire.
e. P/E ratio.

d. (p.221)

23. Which of the following is NOT true of a Stage I corporation?

a. It is typified by the entrepreneur.
b. The entrepreneur tends to make all the important decisions personally.
c. The Stage I corporation has little formal structure.
d. Planning tends to be long range and progressive.
e. The greatest strength of a Stage I corporation is its flexibility and dynamism.

d. (pp.221-222)

24. Objectives which are personal and subjective and are typified by an entrepreneurial spirit describe what stage of corporate development?

a. Stage I company.
b. Stage II company.
c. Stage III company.
d. Stage IV company.
e. Stage V company.

a. (pp.221-222)

25. A corporation run by a team of managers with functional specializations and which successfully operates in one industry is said to be a

a. Stage I company.
b. Stage II company.
c. Stage III company.
d. Stage IV company.

e. Stage V company.

b. (p.222)

26. When the drive of the entrepreneur is no longer enough to keep the Stage I company from floundering, this type of crisis is called

a. a crisis of autonomy.
b. a crisis of confidence.
c. a crisis of clarity.
d. a crisis of differentiation.
e. a crisis of leadership.

e. (p.222)

27. When the people managing diversified product lines in a functionally structured corporation need more decision-making freedom than top management is willing to delegate to them, this type of crisis is called

a. a crisis of autonomy.
b. a crisis of confidence.
c. a crisis of clarity.
d. a crisis of differentiation.
e. a crisis of leadership.

a. (p.222)

28. Under Stage III, when various units of the company optimize its sales and profits without regard to the overall corporation, the organization can use

a. crisis of leadership.
b. crisis of control.
c. crisis of autonomy.
d. crisis of decentralization.
e. crisis of empowerment.

b. (p.222)

29. A strategy which emphasizes growth through product diversification and exploitation of general business opportunities is an example of a corporation in what stage of corporate development?

a. Stage I company.
b. Stage II company.
c. Stage III company.
d. Stage IV company.
e. Stage V company.

c. (pp.222-223)

30. In what stage does a corporation typically decentralize into profit or investment centers?

a. Stage I company.
b. Stage II company.
c. Stage III company.

d. Stage IV company.
e. Stage V company.

c. (p.222-223)

31. A candidate for a fourth stage in corporate development is

a. conglomerate structure.
b. strategic business units.
c. divisional structure.
d. matrix structure.
e. hybrid structure.

d. (p.223)

32. A typical internal block preventing a corporation from moving from Stage I to Stage II is
a. unfavorable economic conditions.
b. the "conservative mentality."
c. organizational inflexibility.
d. lack of operating efficiency.
e. lack of access to financial or management resources.

d. (pp.223-224)

33. A typical external block preventing a corporation from moving from one stage to another is

a. unfavorable economic conditions.
b. strategic myopia.
c. organizational inflexibility.
d. lack of operating efficiency.
e. lack of managerial resources.

a. (p.223)

34. Which of the following is one of the tendencies of entrepreneurs that work very well for small new ventures, but become Achilles' heels for these same individuals when they try to manage a larger firm with diverse needs?

a. loyalty to comrades
b. task oriented
c. single-mindedness
d. working in isolation
e. all of the above

e. (p.223)

35. Stage III in the organizational life cycle is the

a. birth stage.
b. growth stage.
c. maturity stage.
d. decline stage.
e. death stage.

c. (p.224)

36. Stage V in the organizational life cycle is the

a. birth stage.
b. growth stage.
c. maturity stage.
d. decline stage.
e. death stage.

e. (p.224)

37. During Stage II of the organizational life cycle, the structure most likely to be implemented is

a. entrepreneur-dominated.
b. functional management emphasized.
c. decentralization into profit or investment centers.
d. structural surgery.
e. dismemberment of structure.

b. (p.225)

38. During Stage V of the organizational life cycle, the popular strategy is

a. concentration in a niche.
b. horizontal and vertical growth.
c. liquidation or bankruptcy.
d. concentric and conglomerate diversification.
e. profit strategy followed by retrenchment.

c. (p.225)

39. What is the additional phase in the organizational life cycle that may occur sometime during the maturity or decline stages?

a. pause phase
b. acquisition phase
c. recovery phase
d. temporal displacement phase
e. revival phase

e. (p.225)

40. Which one of the following characteristics is NOT descriptive of a Stage IV corporation in the organizational life cycle?

a. Most or all of the product lines are at the mature or declining stage of their product life cycle.
b. Sales are declining or stagnant, especially if expressed in constant dollars.
c. Overhead increases as a percentage of total revenue.
d. Top management misinterprets information and views the threat as only temporary.
e. Headquarters staff is decentralized in order to increase control.

e. (p.225)

41. Which structure simultaneously combines functional and product forms at the same level of the organization?

a. strategic business units

b. functional structure
c. network structure
d. divisional structure
e. matrix structure

e. (p.225)

42. All of the following are changing structural characteristics of the old organization EXCEPT

a. one large corporation.
b. work/quality teams.
c. minimal training.
d. vertical integration.
e. cross-functional work teams.

e. (p.226)

43. All of the following are changing structural characteristics of the modern organization EXCEPT

a. horizontal communication.
b. autonomous work teams.
c. extensive training.
d. value-chain team-focused job design.
e. centralized top-down decision making.

e. (p.226)

44. Which of the following is NOT descriptive of the matrix structure?

a. People from functional units are often assigned on a temporary basis to product units.
b. Although employees often work on one or more product units, they maintain only one direct supervisor.
c. The matrix structure is very useful when the external environment is very uncertain.
d. The matrix structure can produce conflicts revolving around duties, authority, and resource allocation.
e. The matrix structure was developed to combine the stability of functional structure with the flexibility of the product form.

b. (pp.226-228)

45. There are three distinct phases in the development of a matrix structure. Which phase occurs when cross-functional task forces become permanent and the project manager becomes a product or brand manager?

a. temporary cross-functional task forces
b. true dual authority structure
c. product/brand management
d. immature matrix
e. mature matrix

c. (p.228)

46. There are three distinct phases in the development of a matrix structure. Which is the first phase to occur – usually when a new product line is being introduced?

a. temporary cross-functional task forces
b. true dual-authority structure
c. product/brand management
d. immature matrix
e. mature matrix

a. (p.228)

47. There are three distinct phases in the development of a matrix structure. Which phase occurs when both the functional and product structures become permanent in a true dual-authority structure?

a. temporary cross-functional task forces
b. true dual-authority structure
c. product/brand management
d. immature matrix
e. mature matrix

e. (p.228)

48. Which structure is described as a "non-structure" by its virtual elimination of in-house business functions?

a. strategic business units
b. functional structure
c. network structure
d. divisional structure
e. matrix structure

c. (p.228)

49. A company cited in the text as being a network structure organization is

a. Just Toys.
b. Nortel Networks.
c. Ariel Capital.
d. Black and Decker.
e. Home Depot.

a. (p.228)

50. Which structure is often called a virtual organization?

a. strategic business units
b. functional structure
c. divisional structure
d. network structure
e. matrix structure

d. (p.228)

51. Which of the following is NOT descriptive of a network structure?

a. The network organization is a series of independent firms or business units linked together through design, production, and marketing.
b. Independent inventors and entertainment companies often use the network structure.
c. The network structure typically is located in a large, single building or areas with many work projects in operation on the site.
d. The network structure provides an organization with increased flexibility and adaptability to cope with rapid technological changes.
e. The network structure is particularly suited to coping with the shifting patterns of international trade and competition.

c. (p.229)

52. An organization which is composed of cells that can operate alone but that can interact with other cells to produce a more potent and competent business mechanism is referred to as a(n)

a. reengineered organization.
b. cellular organization.
c. modular organization.
d. network organization.
e. ongoing organization.

b. (p.229)

53. The radical redesign of business processes to achieve major gains in cost, service, or time is called

a. total quality management.
b. reengineering.
c. management by objectives.
d. action planning.
e. statistical process control.

b. (p.229)

54. Which of the following is NOT a part of reengineering?

a. determines internal as well as external customers.
b. organizes around outcomes, not tasks.
c. treats geographically dispersed resources as though they were centralized.
d. links parallel activities.
e. captures information once at the source.

a. (pp.229-230)

55. Designing a person's or a department's job around an objective or outcome instead of a single task or series of tasks centers around the Hammer reengineering principle of

a. subsume information-processing work into the real work that produces the information.
b. have those who use the output of the process perform the process.
c. organize around outcomes.
d. treat geographically dispersed resources as though they were centralized.
e. link parallel activities instead of integrating their

results.

c. (p.230)

56. One study of North American financial firms reflect that the average reengineering project took _____months.

a. 23
b. 15
c. 12
d. 36
e. 6

**b. (p.230)**

57. The program which incorporates the statistical approach of Six Sigma with the lean manufacturing program originally developed by Toyota is known as

a. reengineering
b. Lean Six Sigma
c. Job enlargement
d. Just in time
e. Flexible manufacturing

b. (p.231)

58. What term refers to the study of individual tasks in an attempt to make them more relevant to the company and to the employee(s)?

a. position matching
b. functional duties
c. job design
d. task conversion
e. responsibility shift

c. (p.231)

59. The movement of workers through several jobs to increase variety is referred to as

a. job combination.
b. job rotation.
c. job enrichment.
d. job enlargement.
e. job motivation.

b. (p.231)

60. The combination of tasks to give a worker more of the same type of duties to perform is known as

a. job combination.
b. job rotation.
c. job enrichment.
d. job enlargement.
e. job motivation.

d. (p.231)

61. To combat the adverse consequences of task specialization, what function does job enlargement perform?

a. Based on the belief that tasks can be described in terms of certain objective characteristics and that these characteristics affect employee motivation.
b. By moving workers through several jobs, they are exposed to increased variety.
c. By combining different tasks, a worker is given more of the same type of duties to perform.
d. By giving the worker more autonomy through alterations in the job, the worker has control over activities.
e. none of these

c. (p.231)

62. To combat the adverse consequences of task specialization, what function does job enrichment perform?

a. Based on the belief that tasks can be described in terms of certain objective characteristics and that these characteristics affect employee motivation.
b. By moving workers through several jobs, they are exposed to increased variety.
c. By combining different tasks, a worker is given more of the same type of duties to perform.
d. By giving the worker more autonomy through alterations in the job, the worker has control over activities.
e. none of these

d. (p.231)

63. To combat the adverse consequences of task specialization, what function does job rotation perform?

a. Based on the belief that tasks can be described in terms of certain objective characteristics and that these characteristics affect employee motivation.
b. By moving workers through several jobs, they are exposed to increased variety.
c. By combining different tasks, a worker is given more of the same type of duties to perform.
d. By giving the worker more autonomy through alterations in the job, the worker has control over activities.
e. none of these

b. (p.231)

64. To combat the adverse consequences of task specialization, what function does the job characteristics model perform?

a. Based on the belief that tasks can be described in terms of certain objective characteristics and that these characteristics affect employee motivation.
b. By moving workers through several jobs, they are exposed to increased variety.
c. By combining different tasks, a worker is given more of the same type of duties to perform.
d. By giving the worker less autonomy in the job, the worker has less control over activities.
e. none of these

a. (p.231-232)

65. Which component of the job characteristics model tries to increase task variety and enable workers to identify with what they are doing?

a. combine tasks
b. form natural work units
c. establish client relationships
d. vertically load
e. open feedback channels

a. (p.232)

66. Which component of the job characteristics model gives workers increased authority and responsibility over their activities?

a. combine tasks
b. form natural work units
c. establish client relationships
d. vertically load
e. open feedback channels

d. (p.232)

67. Which component of the job characteristics model encourages workers to know what performance is required and why?

a. combine tasks
b. form natural work units
c. establish client relationships
d. vertically load
e. open feedback channels

c. (p.232)

68. Which component of the job characteristics model provides workers information on how they are performing?

a. combine tasks
b. form natural work units
c. establish client relationships
d. vertically load
e. open feedback channels

e. (p.232)

69. Which component of the job characteristics model makes workers more responsible and accountable for the performance of the job?

a. combine tasks
b. form natural work units
c. establish client relationships
d. vertically load
e. open feedback channels

b. (p.232)

70. A highly developed international company with a deep involvement throughout the world, plus a worldwide perspective in its management and decision making is called a(n)

a. international corporation.
b. multidomestic corporation.
c. multinational corporation.
d. global corporation.
e. Stage IV corporation.

c. (p.232)

71. Which one of the following is most descriptive of a multinational corporation (MNC)?

a. It is a corporation which needs only a very small portion of its operations or marketing in another country.
b. It is a corporation that engages in full-scale manufacturing in a couple of foreign countries.
c. It is a corporation that is a highly developed international company with deep worldwide involvement and a global perspective in its management.
d. It is any corporation which does business in two or more countries.
e. It is a corporation that engages in any combination of activities from exporting/importing to full-scale manufacturing in foreign countries.

c. (p.232)

72. Which of the following is a key driver for strategic fit between alliance partners?

a. The alliance must be important to both partners.
b. Joint activities must have added value for customers and the partners.
c. The alliance must be accepted by key stakeholders.
d. Partners contribute key strengths, but protect core competencies.
e. All of the above.

e. (p.233)

73. What is the activity that occurs in Stage I of the development of a multinational corporation?

a. Company invests in production facilities in key countries.
b. Exports, but trade is minor and handled by an export department.
c. Company establishes its own export division with sales offices in other countries.
d. Company operates in a global industry and establishes worldwide personnel, R&D, and financing strategies.
e. Company establishes local operating divisions in host countries to better serve individual country markets.

b. (p.233)

74. The establishment of a sales company with offices in other countries to eliminate the middlemen and to better control marketing occurs in Stage_____of international development.

a.1

b. 2
c. 3
d. 4
e. 5

**b. (p.233)**

75. When a company establishes a local operating division or company in the host country, this is known as Stage_____of international development.

a.1
b. 2
c. 3
d. 4
e. 5

d. (pp.233-234)

76. What is the activity that occurs in the last stage of development of a multinational corporation?

a. Company invests in production facilities in key countries.
b. Exports, but trade is minor and handled by an export department.
c. Company establishes its own export division with sales offices in other countries.
d. Company operates in a global industry and establishes worldwide personnel, R&D, and financing strategies.
e. Company establishes local operating divisions in host countries to better serve individual country markets.

d. (p.234)

77. Who handles the international activities of a company in the second stage of MNC development when exports become more important?

a. Export manager, reporting to domestic marketing executive.
b. Export division manager.
c. Director of international operations, usually a vice-president.
d. President, who is vice-president in the parent company.
e. No single executive in charge of international business.

b. (p.233)

78. Which type of structure enables a company to introduce and manage a similar line of products throughout the world?

a. geographic-area structure
b. network structure
c. product-group structure
d. international structure
e. functional structure

c. (p.235)

79. Which type of structure enables a company to tailor products to regional differences and to achieve regional coordination?

a. geographic-area structure
b. network structure

c. product-group structure
d. international structure
e. functional structure

a. (p.235)

80. Which type of structure enables a corporation to centralize decision making along product lines and to reduce costs?

a. geographic-area structure
b. product-group structure
c. network structure
d. matrix structure
e. functional structure

b. (p.235)

81. Which type of structure enables a corporation to decentralize decision making to the local subsidiaries?

a. geographic-area structure
b. product-group structure
c. network structure
d. matrix structure
e. functional structure

a. (p.235)

82. One company cited in the text for changing to a product-group structure is

a. Exxon.
b. Nestle.
c. Mobil.
d. Shell Oil.
e. Conoco.

b. (p.235